

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 32
JUDICIAL OFFICER: JONI T HIRAMOTO
HEARING DATE: 02/20/2026

ALL APPEARANCES WILL BE BY ZOOM.

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SPECIFY THE ISSUES to be argued.

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Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Local Rule 3.43(2).)

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Zoom hearing information

<https://contracosta-courts-ca.zoomgov.com/j/1613360625?pwd=pSvVmR75t9Q2H5zOgagi9rbG4xeTUM.1>

Meeting ID: 161 336 0625

Passcode: 180770

Law & Motion

1. 9:00 AM CASE NUMBER: C22-01571
CASE NAME: JANE DOE VS. CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
TENTATIVE RULING:

Before the Court is Defendant Contra Costa Ballet Centre's ("Defendant" or "Ballet Centre") Demurrer

to Plaintiff's First Amended Complaint. Defendant moves as to four of the seven causes of action asserted against it: (1) Intentional Infliction of Emotional Distress (1st CoA), (2) Negligent Failure to Warn (5th CoA), Constructive Fraud (6th CoA), and Sexual Harassment under Civil Code § 51.9 and 52 (7th CoA).

The hearing on the demurrer is continued until **April 3, 2026** as outlined below.

Factual Allegations

At all relevant times, non-moving Defendant Viktor Kabaniaev was a dance instructor and teacher employed by moving Defendant Ballet Centre. (¶ 5, 15.) Plaintiff was a student enrolled at the Ballet Centre and was instructed and taught by Defendant Kabaniaev. (¶ 15.) Between the years of 2000 and 2004, while Plaintiff was between twelve and sixteen years old, Defendant Kabaniaev sexually assaulted and abused Plaintiff while working for Defendant. (¶ 33.) This abuse occurred at Ballet Centre's facilities as well as other locations including other dance studios in the area. (¶ 33 a.)

It is generally alleged, on information and belief, that Defendant knew or had reason to know that Kabaniaev had engaged in unlawful sexually related conduct in the past, and that there was a probability that he would assault minors with whom he came into contact. (¶¶ 18-19.) Defendant failed to implement reasonable safeguards to protect Plaintiff and others from Kabaniaev's conduct and failed to warn Plaintiff and others of his past unlawful behavior. (¶¶ 20-22.) It is alleged that Defendant Ballet Centre allowed Kabaniaev to be alone in secluded environments with Plaintiff, allowed him to remain in his position when they had reason to know he sexually abused minors previously, and failed to investigate complaints. (¶ 24.)

Legal Standard

The standard for granting a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer. (*Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057, 1064.) Therefore, it may be granted if, from the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Code Civ. Proc. § 438(d); *Saltarelli & Steponovich v. Douglas* (1995) 40 Cal.App.4th 1, 5; Weil & Brown, Civ. Pro. Before Trial (The Rutter Group 2010) p. 7:292.) As such, a motion for judgment on the pleadings involves the same type of procedures that apply to a general demurrer. (*Richardson-Tunnell v. School Ins. Program for Employees* (2007) 157 Cal.App.4th 1056, 1061; *Burnett, supra*, 123 Cal.App.4th at p. 1064.)

In considering a motion for judgment on the pleadings, courts consider whether the factual allegations, assumed true, are sufficient to constitute a cause of action. (*Fire Ins. Exchange v. Sup. Ct.* (2004) 116 Cal.App.4th 446, 452-453.) Also, like a demurrer, a motion for judgment on the pleadings does not lie as to only part of a cause of action. (*Id.* at p. 452; Weil & Brown, Cal. Practice Guide: Civ. Pro. Before Trial (The Rutter Group 2008) p. 7:295.)

Meet and Confer

Before filing a demurrer, the "demurring party shall meet and confer in person, by telephone or by video conference with the party who filed the pleading that is subject to the demurrer...." (Code Civ. Proc. § 430.41(a) (emphasis added.) The meet and confer "shall" include a discussion of the legal support for the Parties' positions. (Code Civ. Proc. § 430.41(a)(1).) As for the party who filed the complaint (i.e. Cross-Complainants), they "**shall provide** legal support for its position that the

pleading is legally sufficient or, in the alternative, how the complaint ... could be amended to cure any legal insufficiency.” (*Ibid.* emphasis added.)

The demurring party shall file and serve a declaration stating that either:

- “(A) The means by which the demurring party met and conferred with the party who filed the pleading subject to the demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer. [or]
- (B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Code Civ. Proc. § 430.41(a)(3).)

Plaintiff filed her FAC on August 29, 2025. It was electronically served that same day. As such, any responsive pleading was due on or before October 1, 2025. Per the Code of Civil Procedure, the above mandatory meet and confer was required to have taken place by September 26, 2025. (Code Civ. Proc. § 430.41 (a)(2).)

Defendant’s counsel filed a declaration indicating that she sent a detailed meet and confer letter to Plaintiff’s counsel on September 24, 2025 – two days before the deadline. (Oliver Decl. ¶ 6.) The letter requests that Plaintiff’s counsel respond by September 26, and indicates that if no response is received, they will file a demurrer/motion to strike. (*Id.* at Ex. C.) There is no discussion of requesting a time to speak in person or by phone/video conference.

Not receiving a response, Defendant’s counsel filed a Declaration in Support of Automatic Extension of September 29, 2025. That declaration identified the September 24 letter and the lack of a response as the basis for the requested automatic extension. The filing of the Declaration in Support of Automatic Extension thereby extended the time to respond to October 31, 2025.

It appears that Plaintiff’s counsel finally responded to Defense counsel’s letter on October 4, 2024. The letter notes that it is a response to defense counsel’s letter. It does not indicate that the parties spoke at all regarding the issue. The letter indicates that Plaintiff “agrees to withdraw” the fifth and sixth causes of action. (Oliver Decl. Ex. A.)

Defendants filed their Demurrer and Motion to Strike on October 29, 2026. As noted above, the declaration in support indicates that Defendant’s counsel sent a single letter to Plaintiff’s counsel on September 24, 2025. It required a response within two days and did not specifically seek any kind of verbal discussion between counsel – *i.e.* in person, or via telephone or video conference. Plaintiff’s counsel did not respond until after the automatic extension was granted. After the extension was granted, Plaintiff’s counsel responded via a responsive letter.

The Code is very clear that counsel for the parties are required to **speak** to each other and to make a **good faith attempt** to resolve their issues before filing a demurrer (or motion to strike). The ‘efforts’ outlined by Defense counsel’s declaration indicates this did not occur. This is especially concerning here, where Plaintiff’s counsel agreed to withdraw two of their causes of action, but then does not follow through with that agreement.

Conclusion

The Court orders as follows:

- The parties are ordered to meet and confer in person, via telephone or video conference on or before 5:00 p.m. on **March 13, 2026**.
- Defense counsel shall file a declaration by 4:00 p.m. on **March 18, 2026** confirming when and how the meet and confer took place.
- The declaration shall state that the Parties either (1) reached an agreement on the merits of the Demurrer and the Parties are stipulating to the filing of an amended complaint, or (2) did not reach an agreement and the Court should proceed with ruling on the Demurrer as filed – or any portion thereof to which the Parties could not agree. (For example, if Plaintiff does agree to withdraw either or both of the fifth and sixth causes of action, the parties shall notify the Court of this.)

The hearing on the matter is continued until **April 3, 2026**.

2. 9:00 AM CASE NUMBER: C22-01571
CASE NAME: JANE DOE VS. CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF 1ST AMENDED COMPLAINT**
FILED BY: CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
TENTATIVE RULING:

See line 1.

3. 9:00 AM CASE NUMBER: C23-01752
CASE NAME: MARY WALDEN VS. GREGG DRILLING & TESTING, INC.
HEARING ON SUMMARY MOTION JUDGMENT
FILED BY: GREGG DRILLING, LLC
TENTATIVE RULING:

Before the Court is Defendant Gregg Drilling Testing, Inc. (“Defendant” or “GDT”)’s motion for summary judgment or, in the alternative, for summary adjudication. The motion is opposed by Plaintiff Mary Walden (“Plaintiff” or “Ms. Walden”). This motion relates to the complaint filed by Plaintiff alleging (1) gender-based employment discrimination, (2) age-based employment discrimination, (3) failure to prevent, investigate, and remedy discrimination and retaliation, (4) retaliation, and (5) wrongful termination.

Defendant moves for summary judgment on the grounds that (1) Ms. Walden’s claim for gender-based discrimination fails because her allegations related to compensation fall outside the scope of her administrative charge, her allegations regarding compensation extending back through 27 years of employment are time-barred as ancient activities, she cannot establish a *prima facie* case of gender-based discrimination, and GDT had a legitimate business purpose for demoting and ultimately terminating her; (2) Ms. Walden’s age-based discrimination claim fails because she cannot establish a

prima facie case of age-based discrimination, and GDT had a legitimate business purpose for demoting and ultimately terminating her; (3) Ms. Walden's claim for retaliation fails because she neglected to exhaust administrative remedies; (4) Ms. Walden's claims for failure to prevent discrimination and wrongful termination fail because they are derivative of her discrimination claims, which GDT argues fail for the above reasons. Defendant also argues that Ms. Walden fails to meet her burden of establishing malice fraud or oppression to qualify for punitive damages.

Plaintiff opposes this motion. She contends that (1) her compensation-based gender discrimination falls within the scope of her administrative charge, and that evidence of pay disparities and sex-based comments is properly considered as background and as part of a continuing pattern of discrimination; (2) she has established *prima facie* cases of gender and age discrimination by presenting evidence that she performed Project Manager duties, received positive performance evaluations, was demoted and terminated despite satisfactory performance, and was replaced by or treated less favorably than younger, less experienced male employees; (3) Defendant's proffered reason for eliminating her position is pretextual, as there is evidence that her duties were not eliminated but reassigned, that male Project Managers were paid significantly more for comparable work, and that older employees were disproportionately terminated around the time of her termination; (4) her retaliation claim is reasonably related to the allegations in her administrative charge and therefore administratively exhausted; and (5) her derivative claims for failure to prevent discrimination and wrongful termination survive to the extent that her discrimination claims survive. Plaintiff further contends that triable issues of fact exist regarding oppression, fraud, or malice sufficient to permit her punitive damages claim to proceed.

For the following reasons, Defendant's motion for summary judgment or, in the alternative, summary adjudication, is **granted in part and denied in part**.

Request for Judicial Notice

Defendant requests judicial notice of the complaint and its accompanying exhibits in this case.

A court may take judicial notice of court records pursuant to Evid. Code, § 452(d), however, when taking judicial notice of court records, the court is limited to noticing the *existence* of each document in a court file. (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) The court can only take judicial notice of the truth of facts asserted in orders, findings of fact and conclusions of law, and judgments. (*Ibid.*) "The truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

Defendant's request for judicial notice is **granted**.

I. Legal Standard

Motion for Summary Judgment/Adjudication

A party may move for summary judgment if they contend that a cause of action lacks merit or that there is no defense. (Code Civ. Proc. §437c(a)(1).) A cause of action lacks merit if one or more of its

elements cannot be established or if the defendant establishes an affirmative defense. (Code Civ. Proc. §437c(o).)

“[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c (c).) “[T]he facts alleged in the evidence of the party opposing summary judgment and the reasonable inferences that can be drawn therefrom are accepted as true.” (*Hersant v. Department of Social Services* (1997) 57 Cal.App.4th 997, 1001.)

A defendant meets their burden for summary judgment if they show that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., 437c(p)(2).) Once the defendant meets that burden, the burden shifts to the plaintiff to show a defense to the cause of action or a triable issue of one or more material facts. (*Ibid.*)

Employment cases presenting issues of intent and motive “are rarely appropriate for disposition on summary judgment.” (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 286.)

“A motion [for summary adjudication] ... shall proceed in all procedural respects as a motion for summary judgment.” (Code Civ. Proc., § 437c(t)(5).)

II. Factual and Procedural Background

This case arises out of an employment dispute between Ms. Walden and her former employer, GDT. (Compl. ¶ 13.) Ms. Walden is a woman, and at the time of her termination she was 59 years old. (*Id.* at ¶ 4.) GDT qualifies as an employer under FEHA. (Cal. Gov. Code, § 12926(d).)

Ms. Walden was hired in 1992 and worked for GDT for 29 years. (Compl. ¶ 13.) In her first two years with GDT, Ms. Walden was employed as an administrative assistant in Accounts Payable, Receivables and Payroll, however in 1994 she was transferred to a new division, Cone Penetration Testing (“CPT”), where she worked as Office Manager. (*Id.* ¶ 14.)

Ms. Walden presents evidence that from 1993 to 1994 she started to work roughly 50 percent of the time as a Project Manager in the CPT division and 50 percent of the time as an Office Manager. (Walden Dec. ¶ 7.) Her project management duties included: “communicating with clients; determining the type of CPT drilling required; identifying and ordering necessary supplies; collecting and organizing project data; ensuring Utility Service Alerts (USA) were in place or obtaining them; securing city and county permits; preparing maps; managing equipment and personnel; and compiling project data upon completion.” (*Ibid.*)

Ms. Walden alleges she was not given an official title denoting the increased responsibilities and she did not receive any additional compensation for the enhanced duties. (Compl. ¶ 14.) In her deposition she testified that she supervised both office staff and field crews in her dual roles. (Deposition of Mary Walden (“Walden Depo.” attached as Ex. 1 to Declaration of Stephen M. Fuerch (“Fuerch Dec.”) at 115:23-25, 116:1-15.) Among the office staff Ms. Walden supervised was an administrative assistant named Mary Womble. (Walden Depo., attached as Ex. E to Declaration of Harold Jones,

("Jones Dec.") at 116:1-2.)

Ms. Walden presents evidence that from approximately 2000 to 2009, she spent roughly 90 percent of her time working in a CPT Project Manager role, wherein she oversaw three to four drilling rigs, and the remaining 10 percent of her time was dedicated to Office Manager duties. (Declaration of Mary Walden, "Walden Dec." ¶ 8.) From 2009 to 2019 she continued on as Defendant's CPT Project Manager, and from 2014 to January 2019, Ms. Walden alleges she spent 100 percent of her time as a Project Manager. (*Id.* ¶¶ 9-11.) During this latter period, an administrative assistant was hired to take care of many of the business' office tasks. (*Ibid.*)

Her earnings from 2010 to 2013 were as follows: \$99,029.59 in 2010; \$97,540.21 in 2011; \$99,521.92 in 2012; and \$99,029.30 in 2013. (Walden Dec. ¶ 10.) From 2014 to 2019, when she worked 100 percent of the time as a Project Manager, her annual salary was \$83,339.43. (Walden Dec. ¶ 13.)

Ms. Walden attached two emails to her declaration, one from 2016 and one from 2019; in both she appears to be the sender, and her signature block includes the title "Office Manager/CPT Project Manager." (Walden Dec. Ex. 1.)

The 2016 email sent from her email address reads as follows:

Thank you for scheduling this project with us. We appreciate your business. We currently have you on the schedule for [redacted] CPT rig. *I will be the project manager on this project*, should you have any questions, please feel free to give me a call or shoot me an email. Please complete the attached forms and return at your earliest convenience.

(Walden Dec. Ex. 1 (emphasis added).)

Former GDT employee Paul Rogers declared that he worked for GDT for 26 years, first as a driller for 18 years, and then as a Project Manager and Health and Safety Coordinator for the last eight years before leaving the company in 2018 with a final annual salary of \$110,000. (Declaration of Paul Rogers, "Rogers Dec." attached as Ex. 6 to Fuerch Dec. ¶¶ 1-6.) Mr. Rogers further declared that Ms. Walden was also a Project Manager with GDT and in fact assisted him in transitioning from working as a driller to working as a Project Manager. (Rogers Dec., ¶¶ 8, 10.) He noted, "Mary was an outstanding project manager, she was good at making sure her Utility Service Alerts (locates utilities underground) were done on time, she would check in with clients during a project, and she was very patient..." (*Id.* ¶ 10.)

Ms. Womble testified in deposition that Ms. Walden worked as a CPT Project Manager and Ms. Womble directed all calls related to CPT to Ms. Walden. (Deposition of Mary Womble, attached as Ex. 2 to Fuerch Dec. at 25:12-26:8, 27:3-28:9.)

In contrast, GDT contends that Ms. Walden was never a Project Manager. (Defendant Greg Drilling, LLC's Response to Plaintiff's Form Interrogatories, General, Set Two, ("Defendant's Form

Interrogatory Resp.” attached as Ex. 4 to Fuerch Dec. at 4:20-5:6.) In form interrogatory No. 17.1 Defendant alleges that Ms. Walden’s duties were strictly that of an Office Manager – limited to monitoring and approving credit card expenses, preparing bank statement spreadsheets, and assembling new-hire paperwork for new employees at the Martinez office, purchasing office supplies, and other as-needed discrete administrative projects. (Defendant’s Form Interrogatory Resp., Fuerch Dec., Ex. 4 at 4:19-23.) GDT notes that Plaintiff was not qualified for a position as a CPT Project Manager given that in her deposition, she testified that the highest level of education she had attained was high school and some human-resources related training. (*Id.* Ex. 4 at 4:25-26.) According to GDT, Ms. Walden’s only involvement in CPT was “sporadic administrative tasks.” (*Id.* at 4:26-28.)

Conversely, Project Managers ("PMs") are responsible for creating their own proposals, yet Plaintiff had no proposal duties; PMs are responsible for client relations while Plaintiff was not, and had rare interactions with clients; PMs maintain inventory and manage safety supplies while Plaintiff was only instructed to order safety supplies; Plaintiff signed permits as requested by PMs; Plaintiff updated certain business licenses and others as requested by PMs; Plaintiff occasionally rented equipment as instructed by PMs; and Plaintiff scheduled physicals, drug testing, training, classes, etc. when instructed to do so by a PM.

(Defendant’s Form Interrogatory Resp., Fuerch Dec., Ex. 4 at 4:28-5:6.)

Ms. Walden asserts that GDT gave her positive evaluations and feedback throughout her tenure with the company. (Compl. ¶ 17.) Her annual evaluations from GDT “consistently noted her exceptional technical skill set and client relationships.” (*Ibid.*)

During Ms. Walden’s tenure with GDT, the company hired “numerous” younger, less experienced male Project Managers. (Compl. ¶ 18.) These men were paid significantly more in annual salary than Ms. Walden. (*Ibid.*) In April of 2021, at the time of Ms. Walden’s termination, she was earning approximately \$87,000, in contrast to male Project Managers who were compensated in the range of \$110,000 to \$174,000. (*Ibid.*)

On many occasions, when a male Project Manager left the company either voluntarily or involuntarily, and the position [became] vacant, GDT expected and required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.

(Compl. ¶ 19.)

Ms. Walden alleges she was paid significantly less for her Project Manager work than similarly situated male Project Managers, many of whom earned in excess of \$100,000. (Walden Dec. ¶ 17.)

Ms. Walden declares that she asked for raises to match her pay to similarly situated male Project Managers repeatedly during her tenure with GDT, however each time she received only a small increase that kept her pay significantly lower than her male colleagues. (*Id.* ¶ 18.) On one occasion when she inquired about a raise, she was told that the company “could not pay [her] more than ‘what the Southern California girls were earning,’” and that she was already being paid more than “[the company] could justify paying a woman in [her] position.” (*Id.* ¶ 19.)

Ms. Walden felt she was repeatedly discriminated against during the span from 2003 until she was terminated in 2021. (Compl. ¶ 20.) She alleges that she complained to management that she felt the company was treating her unfairly. (*Ibid.*) GDT never took any action to investigate or ameliorate her concerns. (*Ibid.*)

On two occasions, a male Project Manager, Chris Pruner, told Ms. Walden that project management was “a man’s job.” (Walden Dec. ¶ 20.) When she reported this conduct to management, the company did not investigate. (*Id.* ¶ 22.) When she complained to Defendant’s owner, John Gregg, about Mr. Pruner’s disrespectful treatment, he told her that there was nothing that could be done. (*Id.* ¶ 22.) Ms. Walden was also subjected to raised voices and harsh criticism from male manager Chris Christensen. (*Id.* ¶ 21.)

In late 2020, Mr. Christensen advised Ms. Walden that she should focus on her Office Manager duties because if she accepted such reassignment, she was more likely to keep her job. (Walden Dec. ¶ 28.)

Timothy Boyd, who is currently GDT’s president and has worked for the company in various roles since 1998, asserted in his declaration that Ms. Walden “never made any complaints of discrimination or mistreatment on the basis of her age or gender.” (Declaration of Timothy Boyd, “Boyd Dec.,” ¶ 3.) Mr. Boyd did not claim to have worked specifically in a human resources capacity at GDT.

In January of 2021, prior to being promoted to president, GDT promoted Mr. Boyd to Division Manager for Northern California. (Boyd Dec. ¶¶ 1, 3.) His duties then included overseeing the operations of the company’s Northern California office. (*Ibid.*)

Mr. Boyd declared that, in a bid to “improve synergy and efficiency” between the Northern California and Southern California offices, he began to analyze the workflow, communications, and job duties of the staff at the Northern California Office. (Boyd Dec. ¶ 4.) Through this process he found that the bulk of employees reported to Operations Manager Jake Wilson, while just two administrative employees reported to Ms. Walden. (*Ibid.*)

Conversely, Ms. Walden testified that Mr. Wilson did not become her supervisor until a week before she was terminated on April 28, 2021. (Walden Depo, attached as Ex. 1 to Fuerch Dec. at 182:19-22.) She testified that her two subordinate administrative assistants, Ms. Womble, and Phyllis Johnson, did not get reassigned to Mr. Wilson until one or two weeks before Ms. Walden was terminated. (*Id.* at 183:5-24.)

Mr. Boyd averred in his declaration that in February of 2021, in an effort to “streamline management and supervision in the office and to keep the management style cohesive throughout the office, [Mr.

Boyd] decided that going forward Jake Wilson would supervise and manage all employees in the Northern California office.” (Boyd Dec. ¶ 5.) Mr. Boyd declares that he did not consider Ms. Walden’s age or gender in his analysis or in ultimately making that decision. (*Id.* ¶ 6.)

In the wake of relieving Ms. Walden of her supervisory duties, Mr. Boyd noticed that most of her remaining duties were “minimal, and in many cases redundant...” (Boyd Dec. ¶ 7.)

For example, Walden was responsible for handling the onboarding paperwork for new employees. Typically the Company hires few new employees each year. Thus the time necessary for processing new hire paperwork for each new employee is minimal.

(Boyd Dec. ¶ 7.)

After “internal consultation,” Mr. Boyd said he concluded that “it made more economic sense” to eliminate Ms. Walden’s job and redistribute her duties to other employees. (Boyd Dec. ¶ 8.) Mr. Boyd said neither Ms. Walden’s age nor her gender played a role in his decision to eliminate her job. (*Ibid.*) GDT terminated Ms. Walden’s employment on April 28, 2021. (*Id.* ¶ 9.)

The day Ms. Walden was terminated, Mr. Wilson approached her, asking for two company checks on behalf of Mr. Boyd and led her to Mr. Boyd’s desk. (Jones Dec., Ex. E at 170:15-25; 172:1-4.) When they arrived at Mr. Boyd’s desk with the checks, Ms. Walden spontaneously asked Mr. Boyd if he was writing her last check, to which he laughed and said “yes.” (*Id.* at 171:9-13.) When she asked “Why?” Mr. Boyd told her that her job had become redundant and “we no longer need you.” (*Id.* at 172:14-17.)

Ms. Walden testified that her spontaneous reaction of asking Mr. Boyd if he was writing her last check before she was actually told she was being terminated stemmed from the fact that several other managers had been terminated before her. (Walden Depo., attached as Ex. E to Declaration of Harold Jones, “Jones Dec.,” at 172:6-17.) “I was basically the last manager ... it’s hard not to assume that, you know, there will be that day they want to get rid of all the old people that have been there for 25 plus years ... and that’s exactly what they did.” (*Id.* at 172:24.)

Ms. Walden declares that in her capacity as Office Manager she was aware of all terminations that took place between 2019 and her own termination in April of 2021, and in that time, she observed that only employees over 40 were being terminated. (Walden Dec. ¶ 25.) She further contends that between 2019 and her own termination in April 2021, she became aware of a specific pattern of Defendant terminating at least five employees over the age of 55, all of whom had many years of service with the company (*Id.* ¶ 26; Compl. ¶ 22, Walden Depo. attached as Ex. E to Jones Dec. at 172:6-25.) To fill Project Manager roles in the wake of these terminations, GDT hired younger male employees. (Walden Dec. ¶ 27.)

GDT admitted to involuntarily terminating six employees over the age of 40, including Ms. Walden, between January 1, 2019, and July 29, 2021. (Defendant Gregg Drilling, LLC’s Supplemental Responses to Plaintiff’s Special Interrogatories, Set Two, (“Defendant’s Special Inter. Resp.”) attached as Ex. 5 to

Fuerch Dec. at 4:3-5.) They further admitted to terminating 34 employees over the age of 40 between January 1, 2019, and August 4, 2025. (*Id.* Ex. 5 at 4:6-5:19.)

GDT provided no explanation for the elimination of Ms. Walden's job in her letter of termination. (Compl. ¶ 21.) Ms. Walden alleges that "a much younger male employee, to whom GDT was paying higher wages for the same type of work, replaced [her]." (*Ibid.*) GDT contends, however, that no employee replaced Ms. Walden and that her position was altogether eliminated. (Undisputed Material Fact ("UMF") No. 33, Boyd Dec. ¶ 8.)

Ms. Walden also alleges "GDT offered [her] severance pay far less than it had previously offered to other employees who had worked for GDT for shorter periods of time." (Comp. ¶ 21.) Ms. Walden further alleges that she was among several long-time employees over the age of 55 who were terminated during roughly the same time period. (Compl. ¶ 22 Walden Depo. attached as Ex. E to Jones Dec. at 172:6-25.)

Ms. Walden alleges that GDT's decision to terminate her was motivated by her gender and her age. (Compl. ¶¶ 31, 41.) On July 29, 2021^{[14](#)}, she filed a charge of discrimination dually with the California Department of Fair Employment and Housing ("DFEH") and the Equal Employment Opportunity Commission ("EEOC") that contained two charges. (Compl. ¶ 11; Ex. A.)

Allegation No. 1

I allege that I experienced Discrimination on or before April 28, 2021 because of my actual or perceived age (40 and over); Sex/Gender[.] As a result, I was subjected to Demot[ion]. Particulars: I was demoted due to my sex/gender (female) and age (YOB 1962). On or around February 1, 2021, I was informed that my job duties and supervisory responsibilities as Office Manager were removed. I was not given a reason for the demotion. My job duties were given to a younger male.

Allegation No. 2

I allege that I experienced Discrimination on or before April 28, 2021 because of my actual or perceived age (40 and over); Sex/Gender[.] As a result, I was subjected to Terminat[ion]. Particulars: I was terminated due to my sex/gender (female) and age (YOB 1962). On or around April 26, 2021, I was informed I was terminated with no reason given. I am aware that younger males were not terminated as I was.

(Compl. at Ex. A.)

DEFH closed Ms. Walden's case for insufficient evidence and issued her a "right-to-sue" letter on July 29, 2022. (Compl. at Ex. A.) The EEOC adopted DEFH's findings and issued Ms. Walden a "right-to-sue"

letter on September 21, 2022. (*Ibid.*)

Ms. Walden filed the instant suit against GDT on July 19, 2023, alleging (1) Gender-Based Employment Discrimination, (2) Age-Based Employment Discrimination, (3) Failure to Prevent, Investigate, and Remedy Discrimination, Harassment, or Retaliation, (4) Retaliation, and (5) Wrongful Termination.

III. Analysis

A. Gender Discrimination – Scope of Administrative Charges

GDT contends that the pay disparity allegations in Ms. Walden’s civil complaint supporting her claims for discrimination are outside the scope of what she alleged in her administrative charges and thus, she failed to exhaust her administrative remedies. This argument, however, is unpersuasive. Ms. Walden’s charges allege not just demotion and termination, but that pre-existing discrimination led to her demotion and termination. Her charges also allege that discrimination occurred *before* the dates of demotion and termination. Any DFEH investigation would have uncovered pay disparities under these circumstances given that discrimination in compensation is among the prohibited actions contemplated by FEHA. (Gov. Code, § 12940(a).)

California’s Fair Employment and Housing Act (“FEHA”) holds that it is an unlawful employment practice to bar or discharge a person from employment or discriminate against the person in compensation or in terms, conditions, or privileges of employment, based on sex, gender, or age. (Gov. Code, § 12940(a), Gov. Code § 12926(b); § 12926(r)(2).)

Under FEHA, “Age” is the chronological age of a person who has reached a 40th birthday. (Gov. Code § 12926(b).) FEHA defines “Employer” as “any person regularly employing five or more persons, or any person acting as an agent of an employer, directly or indirectly...” (Cal Gov Code § 12926(d).)

In order to file a suit seeking judicial relief under FEHA, a plaintiff must first exhaust administrative remedies by filing administrative charge(s) with DFEH within one year of the alleged unlawful conduct and obtaining a “right-to-sue” letter from the agency. (*Martin v. Lockheed Missiles & Space Co.* (1994) 29 Cal.App.4th 1718, 1724; *Rojo v. Kliger* (1990) 52 Cal.3d 65, 83; Gov. Code, § 12960.) Allegations in a civil suit may be included so long as they are “like or related” to those specified in the charge. (*Oubichon v. North Am. Rockwell Corp.* (9th Cir. 1973) 482 F.2d 569, 571; *Soldinger v. Northwest Airlines* (1996) 51 Cal.App.4th 345, 381.) Charges submitted to DFEH must be “construed liberally in favor of plaintiff [and] construed in light of what might be uncovered by a reasonable investigation.” (*Soldinger, supra*, 51 Cal.App.4th 345, 381; *Nazir, supra*, 178 Cal.App.4th at 268; *Sanchez v. Standard Brands, Inc.* (5th Cir. 1970) 431 F.2d 455, 466.)

Failure to exhaust administrative remedies is a jurisdictional, not procedural, defect; “instead of abating an action as premature, a trial court must grant summary judgment and dismiss the suit upon a finding that a party has not exhausted his or her administrative remedies.” (*Miller v. United Airlines* (1985) 174 Cal.App.3d 878, 890.)

Ms. Walden alleges in her complaint that GDT discriminated against her based on her age and gender when she was repeatedly overlooked for formal promotion to Project Manager, despite being

assigned many of the duties of a Project Manager and frequently being assigned additional duties when other Project Managers left the company. (Compl. ¶ 19.) GDT allegedly assigned these additional duties to Ms. Walden “without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.” (*Ibid.*)

Plaintiff further alleges in her civil complaint that the company hired “numerous” younger, less experienced male Project Managers who were allegedly paid significantly more in annual salary than Ms. Walden. (Compl. ¶ 18.) In April of 2021, at the time of Ms. Walden’s termination, she alleges she was earning approximately \$87,000, in contrast to male Project Managers who were compensated in the range of \$110,000 to \$174,000. (*Ibid.*)

GDT contends that, by contrast, Ms. Walden’s administrative charge only alleges discrimination related to her February 1, 2021 demotion and April 28, 2021 termination and, accordingly, complaints about pay disparity and “any other alleged events that Plaintiff now relies upon to support [her] harassment and hostile work environment claim²¹ are beyond the scope of her Administrative Charge.” (Def. MSJ/MSA at 11:25-27.)

As a threshold issue, GDT’s argument fails.

GDT’s argument that Ms. Walden’s administrative charge does not allege any discrimination prior to February 1, 2021 (Def. MSJ/MSA at 9:16-18) fails because both Ms. Walden’s first and second DFEH charges allege that on or before April 28, 2021, she “experienced Discrimination” based on her gender as a woman and her age as a 59-year-old. (Compl. at Ex. A.) Plaintiff’s charge goes on to state that she experienced demotion and termination *as a result* of the existent discrimination. “Incidents not described in a DFEH charge can be included in the subsequently filed lawsuit if they would necessarily have been discovered by investigation of the charged incidents.” (*Soldinger, supra*, 51 Cal.App.4th at 381.)

In *Jones v. L.A. Cmty. College Dist.* (1988) 198 Cal.App.3d 794, the court found it erroneous to assume that because precise actions claiming to constitute discrimination were not specifically mentioned in a DFEH complaint the department could not have investigated them. (*Jones, supra*, 98 Cal.App.3d at 810.)

Because Ms. Walden’s charges allege she experienced discrimination “on or before April 28, 2021,” GDT’s claim that she did not allege discrimination prior to February 1, 2021, is incorrect. (Def. MSJ/MSA at 9:16-18; Compl. at Ex. A.)

The company also argues that Ms. Walden’s gender discrimination cause of action fails because the administrative charge “does not allege she suffered discrimination arising from disparities between her compensation and the compensation of other employees,” and accordingly, such allegations in her gender discrimination cause of action were not administratively exhausted. (Def. MSJ/MSA at 9:19-20, 11:22-27.)

FEHA holds that “[i]t is an unlawful employment practice ... [f]or an employer, because of the ... sex [or] age [of a person] ... to bar or to discharge the person from employment or ... to discriminate

against the person *in compensation or in terms, conditions, or privileges of employment.*" (Gov. Code, § 12940(a) (emphasis added).)

An investigation into Ms. Walden's FEHA discrimination charges would not have occurred in a vacuum but instead in the context of the Act itself, which specifically refers to discrimination against an employee "in compensation or in terms, conditions, or privileges of employment." (Gov. Code, § 12940(a).) Thus, an investigation into discrimination on or before April 28, 2021, would have sought to identify discrepancies in how employees were treated by the company in such terms. (Compl. at Ex. A.)

An investigation would have logically inquired whether others outside Ms. Walden's protected classes with comparable or lesser qualifications were promoted when she was not. It also would have examined whether any other compensation she received, such as a severance, was less than that of other employees of comparable or less tenure. Similarly, an investigation into the discrimination on or before April 28, 2021, would have examined whether others performing the same Project Manager duties during her tenure were paid more than her. These are all "terms, conditions, or privileges of employment" upon which FEHA prohibits discrimination. (Gov. Code, § 12940(a).)

Furthermore, Ms. Walden alleged in her administrative charge that her demotion resulted in her job duties being assigned to a younger male, and that her termination stood in contrast to those outside her protected classes who were not terminated. (Compl. at Ex. A.) Based on these allegations, a DFEH investigation would have necessarily sought to identify any person or people who took over her duties when she was demoted and ultimately terminated and determine whether they were paid more than she had been.

The allegations of age and sex discrimination GDT challenges in Ms. Walden's civil suit, though not precisely mentioned in her DFEH complaint, would have logically been uncovered in a DFEH investigation because the charge of discrimination would have been evaluated in the context of the language of FEHA. (Gov. Code, § 12940(a).) A DFEH investigation would have necessarily inquired into the types of discrimination Ms. Walden's civil complaint alleges relating to the compensation and terms, conditions and privileges of her employment. (*Ibid.*) These allegations necessarily flow from and are "like or related to" her administrative charges. (*Jones, supra*, 98 Cal.App.3d at 810; *Soldinger, supra*, 51 Cal.App.4th at 381.)

Accordingly, Ms. Walden's specific allegations of discrimination relating to pay disparity and promotion do not exceed the bounds of her administrative charges because these charges are to be "construed liberally in favor of plaintiff [and] construed in light of what might be uncovered by a reasonable investigation." (*Soldinger, supra*, 51 Cal.App.4th at 381; *Nazir, supra*, 178 Cal.App.4th at 268.)

B. Gender Discrimination – Time-Barred Ancient Activities

GDT argues that Ms. Walden cannot base her discrimination cause of action on pay disparities dating back over 27 years because these constitute ancient activities and are time-barred. (Def. MSJ/MSA at 12:18-22.) This argument fails, however, because Ms. Walden's allegations outside the three-year

limitations period are still properly considered in her civil suit under the equitable exception to the three-year limitations period that is known as the continuing violation doctrine. (*Richards v. CH2M Hill, Inc.* (2001) 26 Cal.4th 798, 822-824; Cal. Gov. Code § 12960(e)(5).)

When a continuing violation is present under FEHA, as here, the statute of limitations begins to run when the course of conduct is brought to an end, in this case, by the termination of the employee. (*Williams v. Owens-Illinois, Inc.* (9th Cir. 1982) 665 F.2d 918, 924.) “Under this doctrine, a complaint arising under FEHA is timely if *any* of the discriminatory practices continues into the limitations period.” (*Richards, supra*, 26 Cal.4th at 822-824.)

An employer’s discriminatory conduct qualifies as a continuing violation if its actions are (1) sufficiently similar in kind, (2) have occurred with reasonable frequency, and (3) have not acquired a degree of permanence. (*Richards, supra*, 26 Cal.4th at 823.) “Permanence” is defined as when an employer’s statements and actions make it clear to a reasonable employee that future efforts at informal conciliation will be futile. (*Ibid.*)

The continuing violation doctrine makes pay discrepancies dating back before the limitations period timely because “an employer is liable for actions that take place outside the limitations period if these actions are sufficiently linked to unlawful conduct that occurred within the limitations period.” (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1056; *Williams, supra*, 665 F.2d at 924.)

Here, the limitations period runs three years back from the time Ms. Walden filed her complaint with DFEH on July 29, 2021; accordingly, the actionable period runs from July 29, 2018, to July 29, 2021. Ms. Walden alleges that she experienced a discriminatory pay disparity at the time she was terminated, April 28, 2021 (within the limitations period), when she was earning approximately \$87,000, while younger, less experienced male Project Managers were compensated in the range of \$110,000 to \$174,000. (Compl. ¶ 18.) She alleges this was part of a pattern of pay discrimination over the span of 27 years. (*Ibid.*)

Ms. Walden received annual evaluations that “consistently noted her exceptional technical skill set and client relationships,” and yet still the pay gap persisted. (Compl. ¶ 17.) She alleges that “on many occasions” a male Project Manager would vacate his position and GDT “required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.” (*Id.* ¶ 19.)

Accordingly, every time Ms. Walden had to fill in the role of a vacant Project Manager position without compensation, or had an evaluation or an opportunity to get a raise, this represented an opportunity for GDT to rectify its discriminatory compensation. (*Id.* ¶ 17.)

A minority employee who is not promoted in 1973, for example, and is subject to a continuing policy against promotion of minorities, may then file a timely charge in 1976, because the policy against promoting him or her continued to violate the employee’s rights up to the time the charge was filed.

(*Williams, supra*, 665 F.2d at 924.)

The disparate compensation schemes over a 27-year period of Ms. Walden's employment are alleged to have been consistent, thus they are sufficiently similar in kind. This alleged discrimination happened with reasonable frequency given Ms. Walden's annual evaluations. (*Richards, supra*, 26 Cal.4th at 823, Compl. ¶ 17.) There is no allegation that Ms. Walden was told at any point that she would never be offered a full-fledged Project Manager position or its attendant salary, thus she was not on notice that further efforts to end the unlawful conduct would be in vain. (*Ibid.*)

Given the continuing violation related to the alleged discriminatory compensation disparity, prior instances of this conduct outside the three-year limitation do not qualify as time-barred ancient activities.

However, even if, assuming *arguendo*, the continuing violation doctrine did not apply, "[a] discriminatory act which is not made the basis for a timely charge ... may constitute relevant background evidence in a proceeding in which the status of a current practice is at issue." (*United Air Lines v. Evans* (1977) 431 U.S. 553, 558.) Here, Ms. Walden's causes of action for gender and age discrimination leading to demotion and termination, and the allegations of disparate pay prior to 2021 would support those causes of action as "relevant background evidence," even if they did not constitute causes of action in their own right. (*Ibid.*)

C. Prima Facie Case of Discrimination

California has adopted the United States Supreme Court's burden-shifting *McDonnell Douglas* framework for evaluating FEHA claims of employment discrimination under a theory of disparate treatment. (*Mixon v. Fair Employment & Hous. Com* (1987) 192 Cal.App.3d 1306, 1316; *McDonnell Douglas Corp. v. Green*, 411 U.S. 79.)

Under *McDonnell Douglas* the plaintiff's burden of establishing a *prima facie* case requires her to show, by a preponderance of the evidence, that (1) she belongs to a protected class, (2) her job performance was satisfactory, (3) she experienced adverse employment action(s), and (4) others not in the protected class were retained in similar jobs, and/or her job was filled by an individual of comparable qualifications not in the protected class. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Mixon, supra*, 192 Cal.App.3d at 1318.)

A *prima facie* case of disparate treatment under *McDonnell Douglas* raises an inference of discrimination and shifts the burden to the employer to articulate some legitimate, nondiscriminatory reason for the employee's termination. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Int'l Bhd. of Teamsters v. United States* (1977) 431 U.S. 324, 358; *Furnco Constr. Corp. v. Waters* (1978) 438 U.S. 567, 577.)

FEHA [does not] require the employer to have good cause for its decisions. The employer may fire an employee for a good reason, a bad reason, a reason based on erroneous facts, or for no reason at all, as long as its action is not for a discriminatory reason. ... the

relevant question is ... whether the given reason was a pretext for illegal discrimination.

(*Arteaga v. Brink's, Inc.* (2008) 163 Cal.App.4th 327, 344 (citations and quotations omitted).)

The defendant's evidence is sufficient if it raises a genuine issue of fact as to whether it discriminated against the plaintiff by clearly setting forth through introduction of admissible evidence, the reasons for the plaintiff's rejection. (*Tex. Dep't of Cmty. Affairs v. Burdine* (1981) 450 U.S. 248, 254-255.)

The plaintiff is then burdened with showing that the defendant's "stated reason for plaintiff's rejection was in fact pretext." (*McDonnell Douglas Corp, supra*, 411 U.S. at 804.)

McDonnell Douglas on Summary Judgment

On summary judgment, the trial court must determine whether the Plaintiff has met their burden of presenting a *prima facie* case of discrimination. (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

Where the defendant's nondiscriminatory reasons are creditable on their face, the plaintiff "ha[s] the burden to *rebut* this facially dispositive showing by pointing to evidence which nonetheless raises a rational inference that intentional discrimination occurred." (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 357.)

Unless the plaintiff presents admissible evidence that raises a triable issue of fact, the employer will be entitled to summary judgment if it presents admissible evidence that either (1) the plaintiff's *prima facie* case is lacking, or (2) the adverse employment action was based on legitimate nondiscriminatory factors (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

Accordingly, while the burden of proof will ultimately rest with the plaintiff in a discrimination action, when it comes to a motion for summary judgment or summary adjudication, "the burden rests with the moving party to negate the plaintiff's right to prevail on a particular issue." (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

i. Protected Class

FEHA prohibits discharging a person from employment because of their sex, gender or age. (Gov. Code, § 12940(a).) FEHA furthermore prohibits discriminating against a person based on sex, gender, or age in compensation or in terms, conditions, or privileges of employment. (*Ibid.*)

Here, Ms. Walden, as a woman, is in a protected class under FEHA based on sex or gender, and as a 59-year-old at the time of the alleged events she is also in a protected class based on her age. (Gov. Code, § 12940(a); Gov. Code § 12926(b); § 12926(r)(2); Compl. ¶ 4.) Under FEHA, "Age" is the chronological age of a person who has reached a 40th birthday. (Gov. Code § 12926(b).)

ii. Job Performance

Here, Ms. Walden alleges GDT annually gave her positive evaluations and feedback throughout her tenure with the company. (Compl. ¶ 17.) Her evaluations from GDT "consistently noted her exceptional technical skill set and client relationships." (*Ibid.*) It is not disputed that Ms. Walden's

performance was satisfactory.

iii. Adverse Employment Action

It is undisputed that Ms. Walden's duties were significantly reduced in February of 2021 and she was ultimately terminated on April 28, 2021. (UMF Nos. 8, 13.) It is undisputed that GDT took adverse employment actions against Ms. Walden.

iv. Discrimination Based on Age and Gender

Ms. Walden alleges that during her employment, although she was assigned both Office Manager duties and Project Manager duties, GDT paid her less than younger and less experienced men who did comparable project management work. (Compl. at ¶¶ 4,14,16,18.)

Ms. Walden alleges that at the time she was terminated, she was earning approximately \$87,000, while younger, less experienced male Project Managers were compensated in the range of \$110,000 to \$174,000. (Compl. ¶ 18.)

Ms. Walden further alleges that:

On many occasions, when a male Project Manager left the company either voluntarily or involuntarily, and the position [became] vacant, GDT expected and required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.

(Compl. ¶ 19.)

Ms. Walden alleges in her civil complaint that she felt she was repeatedly discriminated against during the span from 2003 until the time she was terminated in 2021. (Compl. ¶ 20.) This included being told by a male Project Manager that the Project Manager role is a "man's job" and being told by a manager that the company was already paying her more than they could justify paying a woman in her position. (Walden Dec. ¶¶ 19, 20.) She alleges that she complained to GDT about the discrimination to no avail. (Compl. ¶ 20.)

Ms. Walden also alleges that when she was terminated, a younger man with less experience replaced her and was paid more money to complete the same tasks she had previously performed. (Compl. ¶ 29.) Furthermore, Ms. Walden alleges she received a significantly lower offer of severance pay from GDT than had other employees with much shorter tenures. (Compl. ¶ 29.)

For the above reasons, Ms. Walden has satisfactorily alleged a *prima facie* case of disparate treatment based on gender and age discrimination. (*Mixon, supra*, 192 Cal.App.3d at 1318; see also: *Chaline v. KCOH, Inc.* (5th Cir. 1982) 693 F.2d 477, 480; *Tex. Dep't of Cmty. Affairs v. Burdine* (1981) 450 U.S. 248, 253.)

v. Defendant's Non-Discriminatory Reason for Adverse Employment Actions

A *prima facie* case of disparate treatment under *McDonnell Douglas* raises an inference of

discrimination and shifts the burden to the employer to articulate some legitimate, nondiscriminatory reason for the employee's termination. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Int'l Bhd. of Teamsters v. United States* (1977) 431 U.S. 324, 358; *Furnco Constr. Corp. v. Waters* (1978) 438 U.S. 567, 577.)

GDT contends that “there is no causal connection between Plaintiff’s alleged demotion or termination and her gender or age. The decisions to eliminate many of Ms. Walden’s duties and to ultimately terminate her were unrelated to her sex or gender.” (UMF No. 30.) The company alleges that it had a legitimate business reason for demoting and ultimately terminating Ms. Walden. (UMF No. 31.)

Affidavits in support of motions for summary judgment are strictly construed, and while they are not required to consist solely of evidentiary facts, such affidavits that merely state ultimate facts and conclusions of law are insufficient. (*Neary v. Regents of Univ. of Cal.* (1986) 185 Cal.App.3d 1136, 1143 [where affiant stated the legal conclusion that a decision not to release a report was a “policy decision,” the court found the statement insufficient to establish that the decision was actually an exercise of policymaking function].) “The bare statement of conclusions of law...will not sustain the summary judgment which rests upon it.” (*Koret of California, Inc. v. San Francisco* (1969) 2 Cal.App.3d 87, 91.)

Here, Defendants submit Mr. Boyd’s declaration to meet their burden of showing a non-discriminatory basis for demoting and terminating Ms. Walden.

The declaration notes that Ms. Walden’s demotion came in February of 2021, after Mr. Boyd, who was promoted the month before to Division Manager for Northern California, analyzed the office’s “workflow, communications, [and] the job duties of the employees.” (Boyd Dec. ¶¶ 3-4.) He found that Ms. Walden was responsible for supervising just two employees – a part-time secretary and an administrative assistant – while Jake Wilson supervised the rest of the office’s employees. (*Ibid*, Def. MSJ/MSA at 7:26-28.)

Mr. Boyd decided to demote Ms. Walden to “streamline management and supervision” and “keep the management style cohesive throughout the office.” (Boyd Dec. ¶ 5.) Mr. Wilson would instead supervise and manage all of the office’s employees moving forward, including the two administrative employees who had previously answered to Ms. Walden. (*Id.* at ¶¶ 6-7.) Mr. Boyd testified that neither Ms. Walden’s gender nor her age played a role in his analysis or decision to demote her. (*Id.* ¶ 6.)

Mr. Boyd asserted in his declaration that in the wake of Ms. Walden’s demotion, he noticed that her remaining duties were “minimal and, in many cases, redundant of duties other employees performed.” (Boyd Dec. ¶ 7.) He “concluded it made better economic sense, to eliminate [Ms. Walden’s] position and to disperse [her] few remaining job duties to other employees.” (*Id.* ¶ 8.) Mr. Boyd said that neither Ms. Walden’s gender nor her age played a role in his analysis or decision to terminate her. (*Ibid.*)

An employer’s denial of a discriminatory motive does not eliminate triable issues where the plaintiff

produces evidence permitting a reasonable inference of pretext. Accordingly, the Court notes that while Mr. Boyd's declaration that neither gender nor age played a role in either Ms. Walden's demotion or termination is a mere legal conclusion that will not sustain a summary judgment motion, Defendant has otherwise stated a non-discriminatory basis for the adverse employment actions taken against Ms. Walden. (*Koret of California, Inc.*, *supra*, 2 Cal.App.3d at 91.)

i. Pretext

Once the defendant articulates a legitimate, nondiscriminatory reason for the employee's termination, the plaintiff is then burdened with showing that the defendant's "stated reason for plaintiff's rejection was in fact pretext." (*McDonnell Douglas Corp.*, *supra*, 411 U.S. at 802, 804; *Int'l Bhd. of Teamsters*, *supra*, 431 U.S. at 358; *Furnco Constr. Corp.*, *supra*, 438 U.S. at 577.)

Here, Defendant asserts that Ms. Walden's duties were significantly reduced as part of operational restructuring and that her position was altogether eliminated for efficiency and to reduce redundancy. The burden therefore shifts to the Plaintiff to present evidence from which a reasonable trier of fact could find this explanation unworthy of credence.

Plaintiff has made such a showing.

Ms. Walden presents evidence that although her formal title was "Office Manager," she performed functions associated with Project Manager duties for many years, including coordinating project logistics, working with field crews, communicating with clients, assisting with project execution, managing equipment, identifying and ordering supplies, typing proposals, and more. (Walden Dec. ¶ 7; Fuerch Dec. Ex. 1 (Walden Depo.) at 101:16-104:12) Two former co-workers – Ms. Womble and Mr. Rogers – both identified Ms. Walden's role as that of a Project Manager. (Fuerch Dec. Ex. 2 at 25:12-26:8, 27:3-28:9; Fuerch Dec. Ex. 6 (Rogers Dec.) ¶ 8, 10.) Defendant disputes this characterization, contending that Ms. Walden's role remained administrative. This conflict in the evidence regarding the nature and scope of Ms. Walden's job duties is material to Defendant's asserted justification that Ms. Walden's position had minimal remaining responsibilities such that she was redundant.

Plaintiff also presents evidence that she was given positive evaluations and feedback during her tenure. (Compl. ¶ 17., Walden Dec. ¶¶ 14-15.) Evidence that an employee was performing satisfactorily may support an inference that termination was not solely the result of business necessity. While Defendant characterizes the elimination of Ms. Walden's position as unrelated to performance, the evidence regarding Ms. Walden's work responsibilities and performance creates a factual dispute as to whether the proffered reason fully explains the decision.

Further, Ms. Walden asserts that younger, less experienced male employees were paid significantly more for their work in project management than she was for completing the same tasks. (Walden Dec. ¶ 17.) If credited, this could support an inference that Ms. Walden's duties were not eliminated but reassigned, which may bear on whether Defendant's explanation reflects a legitimate business decision or a pretext for discrimination.

Finally, Ms. Walden offers testimony that, in her observation, several older employees were terminated around the time of her termination and in the preceding two years. (Walden Dec. ¶¶ 24-26.) While Defendant disputes the characterization, such testimony, if credited, may be considered as circumstantial evidence bearing on whether Defendant's proffered reason reflects a neutral business decision or is pretextual. At the summary judgment stage, the Court does not weigh the strength of this evidence but considers only whether it contributes to a triable issue of fact.

Also contributing to a triable issue is the fact that GDT identified six employees over the age of 40, including Ms. Walden, whom it terminated between January 1, 2019, and July 29, 2021. (Defendant's Special Inter. Resp. attached as Ex. 5 to Fuerch Dec. at 4:3-5.) GDT further admitted to terminating 34 employees over the age of 40 between January 1, 2019, and August 4, 2025. (*Id.* at 4:6-5:19.)

At the summary judgment stage, the Court does not weight credibility or resolve factual disputes. Viewing the evidence in the light most favorable to Plaintiff, the conflicting evidence regarding her job duties, the extent of her responsibilities, and the circumstances surrounding the elimination of her position is sufficient to permit a reasonable trier of fact to question Defendant's stated reason. Accordingly, Defendant has not met its burden to show the absence of a triable issue as to pretext.

D. Retaliation

FEHA prohibits an employer from discharging or otherwise discriminating against any employee because the employee opposed any practices forbidden under FEHA or because the person filed a complaint, testified, or assisted in any proceeding under FEHA. (Gov. Code § 12940(h).)

To establish a claim for retaliation under FEHA, a plaintiff must allege (1) she engaged in protected activity, (2) she was subjected to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1042.)

In order to file a suit seeking judicial relief for retaliation under FEHA, a plaintiff must first exhaust administrative remedies by filing administrative charge(s) with DFEH within one year of the alleged unlawful conduct and obtaining a "right-to-sue" letter from the agency. (*Lockheed Missiles & Space Co., supra*, 29 Cal.App.4th at 1724; *Rojo, supra*, 52 Cal.3d at 83; Gov. Code, § 12960.)

The administrative charge submitted to DFEH must be construed liberally in favor of plaintiff. (*Nazir, supra*, 178 Cal.App.4th at 268.) The judicial complaint may include that which might reasonably be uncovered by a DFEH investigation or that which is "like or related" to the allegations of the administrative charge. (*Sanchez, supra*, 431 F.2d at 466; *Oubichon, supra*, 482 F.2d at 571.) In order to exhaust administrative remedies, a plaintiff must identify in the administrative charge the specific conduct alleged to violate FEHA. (*Martin, supra*, 29 Cal.App.4th at 1724; *Wills, supra*, 195 Cal.App.4th at 153.)

Here, Ms. Walden's civil complaint alleges she made complaints to management repeatedly from 2003 to 2021 that she was being discriminated against and treated unfairly based on her protected statuses. (Compl. ¶¶ 20, 55.) She also alleges in her civil complaint that she complained about being

paid less than her younger male coworkers. (Compl. ¶ 55.) She alleges that GDT made the decision to terminate her employment as retaliation for this protected activity. (Compl. ¶ 56.) Meanwhile, Ms. Walden's administrative charge alleged more simply that gender and age discrimination resulted in demotion and termination.

GDT notes that Ms. Walden's administrative charge does not allege such retaliation or discrimination based on a retaliatory motive. (Compl. at Ex. A; Def. MSJ/MSA at 9:20-22.) It merely alleges discrimination based on gender and age. (Compl. at Ex. A.) GDT contends, accordingly, that Ms. Walden failed to exhaust administrative remedies for the retaliation cause of action in her civil suit because explicit reference to retaliation is absent from her administrative charges.

However, the court in *Baker v. Children's Hosp. Medial Ctr.* (1989) 209 Cal.App.3d 1057, found it reasonable that an investigation into administrative allegations that an employee was the victim of racial discrimination, in that he was denied the opportunity to work on-call hours in favor of a Caucasian employee with less seniority, would lead to the investigation of subsequent discriminatory acts undertaken by respondents in retaliation for appellant's filing an internal grievance. (*Baker v. Children's Hosp. Medical Ctr.* (1989) 209 Cal.App.3d 1057, 1060.)

A DFEH investigation into Ms. Walden's administrative charge of discrimination likely would have sought to determine whether she had made any complaints to the company about discrimination, and, as noted in *Baker*, DFEH would have reasonably inquired about retaliation for lodging such complaints. Such activity would be "like or related" to an investigation into the alleged age, sex, or gender-based discrimination. (*Soldinger, supra*, 51 Cal.App.4th at 381.)

For the above reasons, Ms. Walden's retaliation claim has been administratively exhausted.

E. Failure to Prevent, Investigate, and Remedy Discrimination and Retaliation

FEHA requires that an employer "take all reasonable steps necessary to prevent discrimination and harassment from occurring." (Gov. Code, § 12940(k).) An employer also must not "discriminate against any person because the person has opposed any practices forbidden [by FEHA] or because the person has filed a complaint, testified, or assisted in any proceeding under [FEHA]." (Gov. Code, § 12940(h).)

Claims for the violation of these provisions are derivative. (*Carter, supra*, 38 Cal.4th at 925, fn. 4; *Trujillo, supra*, 63 Cal.App.4th at 289; *Dickson, supra*, 234 Cal.App.4th at 1309.) On summary judgment, the defendant is entitled to judgment only if it establishes there is no triable issue of fact as to the underlying claims of retaliation and/or discrimination, or that it took all reasonable steps to prevent the retaliation or discrimination. (*Trujillo, supra*, 63 Cal.App.4th at 289, *Dickson, supra*, 234 Cal.App.4th at 1309.)

As GDT notes, Ms. Walden's causes of action for failure to prevent discrimination and failure to prevent retaliation are derivative of her claims of gender and age discrimination and retaliation. (*Carter, supra*, 38 Cal.4th at 925, fn. 4; *Trujillo, supra*, 63 Cal.App.4th at 289; *Dickson, supra*, 234 Cal.App.4th at 1309.) Accordingly, the company argues, because Ms. Walden's claims for

discrimination and retaliation should fail, so, too, does her claim for failure to prevent discrimination and retaliation. (Def. MSJ/MSA at 18:8-17.) As noted *supra*, Ms. Walden's claims for gender discrimination, age discrimination, and retaliation survive this motion, accordingly, so, too do her claims for failure to prevent discrimination and failure to prevent retaliation.

F. Wrongful Termination

Employment without a specified term may be terminated at the will of either party upon giving notice to the other. (Lab. Code, § 2922; *Petermann v. International Brotherhood of Teamsters* (1959) 174 Cal.App.2d 184, 188.) "An employer may not discharge an at will employee for a reason that violates fundamental public policy. This exception is enforced through tort law by permitting the discharged employee to assert against the employer a cause of action for wrongful discharge in violation of fundamental public policy." (*Stevenson v. Superior Court* (1997) 16 Cal.4th 880, 887; *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 665, 669; *Tameny v. Atlantic Richfield Co.* (1980) 27 Cal.3d 167, 172; *Gantt v. Sentry Insurance* (1992) 1 Cal.4th 1083, 1090.)

A person may not be disqualified from entering or pursuing a business, profession, vocation, or employment because of sex. (CA Constitution art I § 8.) "No extensive discussion is needed to establish the fundamental *public* interest in a workplace free from the pernicious influence of sexism. So long as it exists, we are *all* demeaned." (*Rojo, supra*, 52 Cal.3d at 90.) Age is among the categories protected by public policy for the purposes of a claim of wrongful termination in violation of public policy against an employer with five or more employees. (*Jennings v. Marralle* (1994) 8 Cal.4th 121, 135.)

Defendant moves for summary adjudication of Ms. Walden's wrongful termination claim on the same grounds as for Ms. Walden's statutory discrimination claims. This claim, however, is derivative of the alleged age and gender discrimination. Where the underlying statutory claims survive summary judgment, a wrongful termination claim predicated on the same public policies likewise survives. (*Rojo, supra*, 52 Cal.3d at 91.)

As discussed *supra*, Ms. Walden has presented evidence creating triable issues of material fact as to whether Defendant's stated reason for her demotion and termination was pretextual and whether age or gender may have been a motivating factor. Because those factual disputes bear directly on whether the adverse employment actions violated fundamental public policy, Defendant has not established as a matter of law that Ms. Walden cannot prevail on this claim.

Accordingly, summary adjudication of the wrongful termination claim is denied.

G. Punitive Damages

Defendant argues Ms. Walden is not entitled to punitive damages on the grounds that she has not established, by clear and convincing evidence, that Defendant acted with malice, oppression, or fraud. (Civ. Code, § 3294(a), Civ. Code § 437c(f)(1).) The Court agrees.

A plaintiff may recover punitive damages in an action for the breach of an obligation not arising out of contract where it is proven by clear and convincing evidence that the defendant has been guilty of

malice, oppression, or fraud. (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227; Code Civ. Proc., § 3294(a).)

As used in this section, the following definitions shall apply:

(1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.

(3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code, § 3294(c).)

Where the defendant is a corporate employer, liability for punitive damages may be imposed only if the wrongful conduct was committed, authorized, or ratified by an officer, director, or managing agent of the corporation, or if such an individual personally engaged in the conduct. (Civ. Code § 3294(b).) A managing agent is more than a mere supervisory employee. (*White v. Ultramar* (1999) 21 Cal.4th 563, 573.) A managing agent is an employee who exercises “substantial discretionary authority over significant aspects of a corporation's business.” (*Id.* at 577.)

An allegation that an intentional tort was committed is not sufficient to warrant an award of punitive damages. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) “*There must be an intent to vex, annoy or injure.* Mere spite or ill will is not sufficient; and mere negligence, even gross negligence is not sufficient to justify an award of punitive damages.” (*Ebaugh v. Rabkin* (1972) 22 Cal.App.3d 891, 894 (emphasis in original).) “Malice” required by § 3294 implies acts taken in the spirit of mischief or with criminal indifference. (*Taylor v. Superior Court of Los Angeles County* (1979) 24 Cal.3d 890, 894 (citations omitted).)

Here, even viewing the evidence in the light most favorable to Ms. Walden, there is no evidence from which a reasonable trier of fact could find, by clear and convincing evidence, that Defendant acted with malice, oppression, or fraud within the meaning of Civil Code section 3294.

Ms. Walden’s evidence, at most, raises triable issues as to whether Defendant’s proffered business reasons for demoting and terminating her were pretextual. However, evidence sufficient to support an inference of discriminatory motive under the *McDonnell Douglas* framework does not, without more, constitute clear and convincing evidence of despicable conduct carried on with a willful and conscious disregard for Ms. Walden’s rights. (*White, supra*, 21 Cal.4th at 572-573; *Grieves, supra*, 157

Cal.App.3d at 166.)

Furthermore, Ms. Walden presents no evidence that any officer, director, or managing agent of GDT personally engaged in, authorized, or ratified conduct amounting to malice, oppression, or fraud. (Civ. Code, § 3294(b).) While Mr. Boyd is alleged to have taken the adverse employment actions challenged in this case, the record does not contain evidence that he acted with intent to injure Ms. Walden with despicable conduct in conscious disregard of her rights. Nor is there evidence of advance knowledge of unfitness, authorization, or ratification by a corporate officer or managing agent sufficient to satisfy Civil Code section 3294(b).

At most the evidence reflects a disputed employment decision and conflicting evidence regarding job duties and compensation. Such evidence, even if ultimately credited by a jury, would support compensatory liability only and does not rise to the level of clear and convincing proof of malice, oppression, or fraud required for punitive damages. ((Civ. Code, § 3294(a).)

Accordingly, Defendant is entitled to summary adjudication of Plaintiff's claim for punitive damages.

IV. Conclusion

For the foregoing reasons, Defendant's motion for summary judgment or, in the alternative, summary adjudication of Plaintiff's claims for (1) gender-based employment discrimination, (2) age-based employment discrimination, (3) failure to prevent, investigate, and remedy discrimination and retaliation, (4) retaliation, and (5) wrongful termination, is **denied**, but **granted** as to Plaintiff's prayer for punitive damages.

Evidentiary Matters

The Court need only rule on those objections material to the Court's ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).)

i. Plaintiff's Objections to Boyd Declaration

Objection No. 1: **Overruled**.

Objection No. 2: **Overruled**.

Objection No. 3: **Overruled**.

ii. Defendant's Objections Rogers Declaration

Objection No. 1: **Overruled**.

Objection No. 2: **Overruled**.

Objection No. 3: **Overruled**.

iii. Defendant's Objections to Walden Declaration

Objection No. 1: **Sustained**. (Irrelevant to this motion.)

Objection No. 2: **Sustained** as to the portion of paragraph 14 that avers that the two men were paid

more than Ms. Walden and **overruled** as to the rest of the paragraph.

Objection No. 3: **Overruled**.

Objection No. 4: **Overruled**.

Objection No. 5: **Overruled**.

Objection No. 6: **Overruled**.

Objection No. 7: **Overruled**.

Objection No. 8: **Overruled**.

Objection No. 9: **Overruled**.

Objection No. 10: **Overruled**.

Objection No. 11: **Sustained**.

4. 9:00 AM CASE NUMBER: C23-02669
CASE NAME: ALDVIN SCHAKANOVICH VS. LINDA WILLIAMS
***HEARING ON MOTION IN RE: TO TRANSFER AND CONSOLIDATE CASES**
FILED BY: SCHAKANOVICH, ALDVIN
TENTATIVE RULING:

The unopposed motion to transfer and consolidate cases is granted.
The Court will sign the Proposed Order and email to Plaintiff for service on all parties.

5. 9:00 AM CASE NUMBER: C23-03306
CASE NAME: GLADYS QUINTANILLA VS. VIRGINIA GRUVER
***HEARING ON MOTION IN RE: ORDER IMPOSING TERMINATING SANCTIONS**
FILED BY: QUINTANILLA, GLADYS ELIZABETH
TENTATIVE RULING:

Plaintiffs bring the instant motion for terminating sanctions, or in the alternative, an order imposing issue and / or evidentiary sanctions.

On July 11, 2025, this Court ordered Defendant VIRGINIA GRUVER to serve verified discovery responses, without objection, to Plaintiff's Form Interrogatories, Set One, Special Interrogatories, Set One, and Requests for Production of Documents, Set One within 60 days (i.e. September 9, 2025)

The court also granted Plaintiffs' request for sanctions in the amount of \$4,440 imposed on Defendant and her Counsel to be paid within 20 days (i.e. July 31, 2025).

Plaintiffs assert that Defendant has failed to comply with the Court's July 11, 2025 order, and seek an

order for terminating sanctions, or in the alternative, an order imposing issue and / or evidentiary sanctions.

Counsel for Defendant admits that he had been unable to contact his client “since the beginning of the case” and had informed Plaintiff’s counsel that he was at the point where he needed to retain a private investigator to find his client. Declaration of James M. Treppa, (Treppa Dec.) ¶ 8. Defendant represents or around December 3, 2025, Defense counsel’s firm “successfully tracked down Defendant.” Since then, Defense counsel has worked to get responses from Defendant, and on January 28, 2026—almost five months after the court’s September 9, 2025 deadline for compliance-- Defendant served verified responses to Plaintiffs. (Treppa Dec., ¶¶ 10, 11.)

Defense counsel submitted a copy of the discovery responses served on Plaintiffs. (Treppa Dec. ¶ 11, Exs. A-C.)

The court notes that the Defendant’s Opposition did not counter Plaintiffs’ assertion that \$4,440 in sanctions ordered to have been paid by July 31, 2025 have yet to be paid. The sanctions were ordered against both Defendant and her counsel. Defendant has not asserted any reason why those sanctions have not been paid.

The court may impose sanctions even if a party has complied with discovery after the motion was filed. California Rule of Court (CRC) 3.1348(a) provides, “The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though ... the requested discovery was provided to the moving party after the motion was filed.” (CRC 3.1348(a).)

The court notes that the Defendant’s responses are verified and appear to be code compliant. Substantive answers are given.

The court is at a loss to understand how, given the Defendant’s verified answers in discovery that she has lived at the same address “from March 2025 to the present,” and worked at her two current places of employment from “March 2025 to the present,” could Defense counsel not be able to communicate with his client from July 11, 2025 (the date of the court’s last order on discovery) to December 3, 2025 (the date defense counsel’s firm was able to “successfully track down Defendant.”)? (Defendant’s Responses for Form Interrogatories, Set One, pages 3:20 – 4:19, attached as Ex. C to the Treppa Dec.; Treppa Dec. ¶ 10.) However, the court notes that Defendant was served by publication in this matter—which is some indication that at one point Plaintiff also had difficulty locating her. (Court takes judicial notice, *sua sponte*, of its own orders and files in this matter: Order for Publication filed August 7, 2024 and of Proof of Publication filed September 3, 2024.)

Defendant served verified answers as soon as defense counsel was able to re-establish contact with his client. The almost five month delay does not appear to be unduly prejudicial to Plaintiffs in the context of this case filed December 28, 2023.

Although it appears Plaintiffs themselves had trouble tracking down the Defendant to serve her with the Summons and Complaint, the almost five month delay in complying with the court’s July 11, 2025 order does not appear to be justified. Defendant lived at the same address and worked at the same

places of employment during the entire time that Defense counsel's firm was "seeking to track her down." Defense counsel may have experienced difficulty maintaining contact with his client, but Defendant herself had some obligation to maintain communication with her retained counsel.

In addition, the sanctions order remains outstanding and the court notes that the order was imposed against both Defendant and her counsel. There does not appear to be any justification for defense counsel not to have paid the \$4,440 ordered to be paid by July 31, 2025.

The court recognizes its discretion to issue terminating sanctions in the current case. However, the court also recognizes it must consider whether a sanction short of dismissal or default would be appropriate. The court in *Deyo v. Kilbourne* (1978) 84 Cal. App. 3d 771 described a list of non-exclusive factors a court may consider determining the appropriateness of terminating sanctions, and observed, "[E]ach case must be decided on its own facts and, while lesser sanctions are normally imposed, the ultimate sanction is permissible where the litigant persists in refusing to comply with his discovery obligations." *Deyo, supra*, 84 Cal. App. 3d at 797. The California Supreme Court more recently directed trial courts to consider lesser sanctions before imposing more severe sanctions. In *City of Los Angeles v. PricewaterhouseCoopers, LLP* (2024) 17 Cal. 5th 46, at 422, the court noted, "[A] more severe sanction is disfavored if a lesser sanction is available."

Here, Defendant provided full verified discovery responses as soon as defense counsel re-established communication with his client, but Defendant has not proffered a good reason for the lack of communication between attorney and client—especially during a period when Defendant lived in the same place and worked at the same two jobs. In addition the sanctions remain unpaid and no justification for the defense attorney's lack of compliance with the court's sanctions order has even been proffered.

Monetary sanctions have already been ordered and ignored. However, the court finds that terminating sanctions would be excessive at this stage. The July 11, 2025 hearing was the first and only hearing on discovery issues in this case and the conduct at issue here – while concerning and not substantially justified -- is not so egregious as to warrant the entry of a default judgment against Defendant.

The court **denies** the motion for terminating sanctions, but **grants** the Plaintiff's motion for an issue sanction against Defendant. The court orders that the following facts are established:

[1] Defendant VIRGINIA GRUVER was negligent at the time of the accident, and [2] Defendant VIRGINIA GRUVER'S negligence was a substantial factor in causing harm to Plaintiffs.

The court also **orders** that Defendant pay the \$4,440 sanction previously ordered by the court to be paid within 20 calendar days of service of notice of entry of this order. Defendant should take notice that a party may be subject to a monetary sanctions of up to \$1500 under CCP § 177.5 for failure to obey a lawful court order.

6. 9:00 AM CASE NUMBER: C24-02650
CASE NAME: BRANDON B. VS. LIBERTY UNION HIGH SCHOOL DISTRICT
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: LIBERTY UNION HIGH SCHOOL DISTRICT
TENTATIVE RULING:

Defendants Liberty Union High School District, Linda Ghilarducci and Samantha Boeger's demurrer to the first amended complaint is **sustained with leave to amend**. Plaintiff may file and serve an amended complaint within 10 days after notice of entry of this ruling.

Brandon is a 16 year old minor who is represented by his mother and guardian ad litem, Shauna Butler. Brandon was attacked by another student, Dwayne, while at school on August 29, 2023 during their 3rd period physical education class. (Comp. ¶¶21, 26.) Dwayne slapped Brandon's hand. (Comp. ¶26.) Dwayne continued to push Brandon after slapping his hand and Brandon walked away. (Comp. ¶27.)

Another student, Angela, saw that Dwayne had hit Brandon's hand. (Comp. ¶28.) Dwayne was wearing crocs and the PE teacher required students in crocs to walk along the wall when wearing them. (Comp. ¶30.) There were no other aids in the PE class despite there being more than 20 students. (Comp. ¶31.)

Later in that class, Brandon was sitting down in his line because he was going to play indoor soccer. Brandon was sitting against the wall talking to another student. (Comp. ¶32.) Dwayne gave his phone to another student for the student to film him "swinging" on Brandon. (Comp. ¶33.) That student recorded the incident, which shows: Dwayne walked up to Brandon (who was sitting) and began to punch him. Dwayne was wearing a solid ring on the hand he used to punch Brandon. (Comp. ¶34.)

The PE Teacher, Ghilarducci, witnessed the attack but did not try to stop it, except for blowing her whistle. (Comp. ¶35.) Other students stopped the attack. (Comp. ¶36.) Dwayne was escorted by the Teacher's Assistant out of the gym. (Comp. ¶37.)

Brandon was taken to the school office. He was injured with a bloody eye but was not offered medical care. (Comp. ¶38.) Assistant principal Boeger spoke with Brandon, but did not offer him medical care. (Comp. ¶39.) Brandon's mother was not notified of the fight by school administration, but learned of it from Brandon's girlfriend. (Comp. ¶44.) Brandon was suspended from school even though he was not the aggressor. (Comp. ¶44.) When questioned by Brandon's mother, Boeger lied to her and said that Brandon had been sucker punched once even though the video showed otherwise. (Comp. ¶45.)

Brandon sued Liberty Union High School District and Liberty Union High School for causes of action for (1) negligence, (2) negligent supervision, (3) negligent supervision, retention and training and (5) dangerous condition of public property. Brandon also sued the District and Boeger for cause of action for (4) intentional infliction of emotional distress. Ghilarducci is named in the complaint, but

not in any of the causes of action.

After the FAC was filed, Plaintiff agreed to dismiss Liberty Union High School and the cause of action for dangerous condition of public property. Plaintiff has not yet filed a dismissal on these items, but these items were not included in the demurrer.

Defendants demur to each cause of action based on the failure to allege sufficient facts to state a cause of action. (Code of Civil Procedure §430.10(e).) They also demur to cause of action one on uncertainty. (Code of Civil Procedure § 430.10(f).)

Meet and Confer

Here, it appears that Defendants attempted to meet and confer and Plaintiff's counsel did not respond until after they amended their complaint. After the FAC was filed, Plaintiff's counsel apparently discussed some issues with Defendants' counsel. It does not appear that the meet and confer requirements were fully met in this case. The Court will, however, rule on the merits. The Court reminds the parties that they are required to discuss the alleged deficiencies with the complaint in person, by telephone or by video conference before each and every demurrer or motion to strike. (Code of Civil Procedure §§430.41(a), 435.5.)

Duplicative Claims

Defendants argue that causes of action one and two for negligence and negligent supervision are duplicative of cause of action three for negligent supervision, retention and training. Plaintiff disagrees.

The first cause of action for negligence is a combined claim involving allegations of negligent supervision of students; failure to provide safety protocols to prevent injuries; failure to provide proper medical care and failure to tell parents and law enforcement of the attack; and negligent hiring and supervision of staff. (Comp. ¶62.) Cause of action two is based on a failure to investigate, supervise and monitor students. (Comp. ¶71.) Cause of action three is based upon all negligent hiring, supervision and training of Ghilarducci and Boeger. (Comp. ¶¶96, 99, 100.)

The Court finds that there is some overlap between cause of action one and three and as such cause of action one is uncertain. Plaintiff is given leave to amend to remove the allegations regarding negligent hiring, supervision and training of District staff from cause of action one. Those allegations are already included in cause of action three.

The allegations in cause of action two regarding supervision of students overlap with cause of action one. Further, given the surrounding allegations, the claim of negligent supervision of students is properly included in cause of action one. In opposition, Plaintiff argues that cause of action two is based upon an alleged mandatory duties in the Education Code, however, no such mandatory duties are alleged in the complaint. The District did not demur on uncertainty to cause of action two. The Court cannot rule on an issue not raised in the moving papers.

On the duplicative argument, the demurrer is sustained as to cause of action one with leave to amend.

Causes of Action 1 and 2 (negligence and negligent supervision))

Defendants argue that the first and second causes of action do not allege sufficient facts to show that it was foreseeable that Dwayne would assault Plaintiff. Since causes of action one and two both include allegations regarding negligent supervision of students, the Court will address them together.

“[A] school district and its employees have a special relationship with the district's pupils, a relationship arising from the mandatory character of school attendance and the comprehensive control over students exercised by school personnel, ‘analogous in many ways to the relationship between parents and their children.’ [Citations.] Because of this special relationship... the duty of care owed by school personnel includes the duty to use reasonable measures to protect students from foreseeable injury at the hands of third parties acting negligently or intentionally. [Citations.]” (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 869-870.)

“As the court in *C.A.* explained, a negligent supervision claim depends, in part, on a showing that the risk of harm was reasonably foreseeable. (*C.A.*, *supra*, 53 Cal.4th at pp. 869–870; see also *Leger v. Stockton Unified School Dist.* (1988) 202 Cal.App.3d 1448, 1459 [‘[T]he existence of a duty of care [of a school district toward a student] depends in part on whether the [particular] harm to [the student is] reasonably foreseeable.’].) ‘Foreseeability is determined in light of all the circumstances and does not require prior identical events or injuries.’ [Citations.] “‘It is not necessary to prove that the very injury which occurred must have been foreseeable by the school authorities Their negligence is established if a reasonably prudent person would foresee that injuries of the same general type would be likely to happen in the absence of [adequate] safeguards.’” [Citation.]” (*D.Z. v. Los Angeles Unified School Dist.* (2019) 35 Cal.App.5th 210, 229.)

While the duty analysis and foreseeability analysis are not interchangeable, in the context of a student being injured at school it is clear that the school district owes a duty to protect the student if the risk of harm is foreseeable. Thus, the key question here is whether Plaintiff has alleged sufficient facts to show that the risk of harm is foreseeable.

In *M.W.*, for example, the court of appeal affirmed a finding a duty where it found the school district owed a duty of care to a student who was sexually assaulted by another student in a school bathroom. (*M. W. v. Panama Buena Vista Union School Dist.* (2003) 110 Cal.App.4th 508, 518.) The court concluded that the risk of assault was foreseeable based on evidence at trial that (1) the district's lack of supervision in the early morning when the assault occurred in a known trouble spot, (2) the assailant's extensive prior record of discipline, and (3) the unique vulnerabilities of special education students such as the victim. (*Id.* at 519–520.)

In *Leger*, a student was attacked by a nonstudent in the school bathroom while he was changing for wrestling practice. Plaintiff alleged that defendants knew or should have known that members of the wrestling team (including plaintiff) were changing clothes before practice in the

unsupervised boys' restroom, that defendants knew or should have known the unsupervised restroom was unsafe for students, and that attacks were likely to occur there. In the context of a demurrer, the court found plaintiff had sufficiently alleged facts showing that the school had a duty because the facts showed that harm to plaintiff was reasonably foreseeable in the absence of supervision or a warning. (*Leger, supra*, 202 Cal.App.3d at 1459-1460.)

Here, Plaintiff argues that he alleged that Dwayne posed a foreseeable risk and had violent propensities known to the District. The FAC alleges that Boeger knew or should have known of Dwayne's violent tendencies and that the District staff knew or should have known that students, including Plaintiff, would be subjected to physical violence by other students, particularly Dwayne. (FAC ¶¶40 and 59.) Paragraph 73 (included in the second cause of action) alleges that the District should have known of Dwayne's acts and did not reasonably investigate, supervise or monitor Dwayne. (FAC ¶73.)

The Court finds that Plaintiff has sufficiently alleged facts showing that Dwayne had violent tendencies and the District knew or should of known of those tendencies. While the allegations are somewhat conclusory, the Court is reviewing this issue at the pleading stage. "Whether plaintiff can prove these allegations, or whether it will be difficult to prove them, are not appropriate questions for a reviewing court when ruling on a demurrer. [Citation.]" (*Leger, supra*, 202 Cal.App.3d at 1460.)

On this ground, the demurrer fails.

Cause of Action 3 (negligent supervision, retention, and training)

The third cause of action is based upon the District's negligent supervision, retention and training of Boeger and Ghilarducci.

"[A] direct claim against a governmental entity asserting negligent hiring and supervision, when not grounded in the breach of a statutorily imposed duty owed by the entity to the injured party, may not be maintained." (*de Villers v. County of San Diego* (2007) 156 Cal.App.4th 238, 255-256.) *C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861 discussed the difference between direct liability of a public entity (which requires a statutory basis) and vicarious liability based upon the actions of an employee (which is permitted under Government Code section 815.2). There, the court explained that a school district can be vicariously liable for an administrator's negligent hiring and supervision of a guidance counselor who later assaults a student. (*Id.* at 875.)

In opposition, Plaintiff cites to cases holding that an employer can be liable for negligent hiring and retention, but does not cite case law involving public entities.

Here, the claim for negligent supervision, retention and training of Boeger and Ghilarducci alleges that the District negligently hired teachers and administrators and the district was on notice as to their unfitness. (FAC ¶¶91, 100.) Thus, this claim is one for direct liability against the District for negligent hiring, retention and supervision and fails because it does not allege a statutory basis for the claim.

It is possible that Plaintiff is attempting to allege a claim for negligent supervision, retention and training based upon a vicarious liability theory. In the FAC, Plaintiff cited to C.A. for a quote on vicarious liability for negligent hiring, supervision and retention. Further, there are allegations that “Defendants, acting through managing agents and school administrators,” failed to adequately hire, supervise, or retain DISTRICT/LIBERTY UNION personnel. (FAC ¶62.) These facts might support a potential vicarious liability cause of action, but currently the third cause of action alleges a direct liability claim.

The demurrer to the third cause of action for negligent supervision, retention and training is sustained with leave to amend for Plaintiff to allege a theory based upon vicarious liability.

Cause of Action 4 (IIED)

In order to state a claim for intentional infliction of emotional distress, a plaintiff must show “(1) outrageous conduct by the defendant; (2) intention to cause, or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering and (4) actual and proximate causation of the emotional distress.” (*Cole v. Fair Oaks Fire Protection Dist.* (1987) 43 Cal.3d 148, 155 fn. 7.)

“Outrageous conduct is conduct that is intentional or reckless and so extreme as to exceed all bounds of decency in a civilized community.” (*Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 204; accord *Christensen v. Super. Ct.* (1991) 54 Cal. 3d 868, 903.)

Here, the District argues that the claims alleged are based on negligence and thus, there can be no claim for IIED. Although negligence does not often support IIED, the Court’s practice is to review the facts alleged to see if they meet the elements for an IIED cause of action.

The facts alleged as to Boeger and the District are that Boeger, the assistant principal, lied to Plaintiff’s parent about Brandon’s injuries. (FAC ¶¶45, 105.) The other allegations are that Brandon was not given medical care at school and the District’s negligent failure to prevent the attack by Dwayne.

There are also allegations that a “reasonable person would not expect or tolerate the physical violence, abuse, threats, and harassment carried out by BOEGER AND THE DISTRICT against PLAINTIFF.” (FAC ¶104.) However, there are no facts alleged that Boeger or any District personnel assaulted, threatened or harassed Brandon. The Court has disregarded the allegation that Boeger assaulted and harassed Brandon for this analysis because there are no facts to support it.

The Court finds that the allegations that Boeger lied to Brandon’s parent regarding the attack are insufficient to support a claim for IIED. The Court is not convinced that the lie regarding the extent of the attack is sufficiently extreme and outrageous. But in any event, Brandon’s parent, not Brandon, would have the claim, if any, for being lied to.

The remaining allegations support a theory of negligence against the District and Boeger, however, they do not rise to the level of extreme and outrageous conduct. Therefore, Plaintiff has not

alleged a cause of action for IIED and the demurrer is sustained with leave to amend.

Separately, it is not clear what cause of action is alleged against Ghilarducci and when amending his complaint, Plaintiff shall clarify whether Ghilarducci is a defendant and if so, what claim is alleged against her. When amending, Plaintiff shall also remove the fifth cause of action for dangerous condition of public property and defendant Liberty Union High School per the parties' agreement.

7. 9:00 AM CASE NUMBER: C24-02650
CASE NAME: BRANDON B. VS. LIBERTY UNION HIGH SCHOOL DISTRICT
***HEARING ON MOTION IN RE: STRIKE ALLEGATIONS OF 1ST AMENDED COMPLAINT**
FILED BY: LIBERTY UNION HIGH SCHOOL DISTRICT
TENTATIVE RULING:

Defendants Liberty Union High School District, Linda Ghilarducci and Samantha Boeger's motion to strike portions of the first amended complaint is **granted with leave to amend**.

Defendants request to strike the allegations for punitive damages in paragraphs 111 and 113 and the prayers for punitive damages and attorney fees.

Plaintiff is seeking attorney fees against all Defendants. Defendants correctly point out that attorney fees are not normally allowed in a tort case and Plaintiff concedes the point. The motion to strike attorney fees is granted.

Plaintiff is seeking punitive damages against Ghilarducci and Boeger. In order to obtain punitive damages the facts alleged must show fraud, oppression or malice. (Civil Code §3294.) Subdivision (c) of the statute contains the following definitions: "(1) 'Malice' means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [P] (2) 'Oppression' means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. [P] (3) 'Fraud' means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury."

"Nonintentional torts may also form the basis for punitive damages when the conduct constitutes conscious disregard of the rights or safety of others. [Citations.] Nonintentional conduct comes within the definition of malicious acts punishable by the assessment of punitive damages when a party intentionally performs an act from which he knows, or should know, it is highly probable that harm will result. [Citations.]" (*Peterson v. Superior Court* (1982) 31 Cal.3d 147, 158.)

As to Boeger, Plaintiff argues that allegations that Boeger lied to Brandon's parent about what happened during the attack are sufficient to support punitive damages. (FAC ¶35.) The claim that Boeger lied to Brandon's parent does not show why punitive damages should be awarded for Brandon's claims. The remaining facts alleged against Boeger do not rise to the level of fraud,

oppression or malice.

As to Ghilarducci, it is alleged she witnessed the fight and did nothing to stop it except blow her whistle. (FAC ¶135.) These facts are insufficient to rise to the level of fraud, oppression or malice. Further, there is no cause of action alleged against Ghilarducci.

Therefore, the motion to strike punitive damages is granted. Plaintiff is given leave to amend to include facts showing fraud, oppression or malice.

8. 9:00 AM CASE NUMBER: C24-03092
CASE NAME: PETER SCHICKER VS. JOSEPH SCHWALLER
***HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS**
FILED BY: SCHWALLER, JOSEPH WILBUR
TENTATIVE RULING:

Off-calendar based on notice of settlement on February 18, 2026.
Court will maintain the April 9, 2026 CMC at 8:30 a.m., Dept 32. If no dismissal is on file as of that date, parties must file updated CMC Statements 15 days in advance of April 9, to inform the court about the status of the settlement.

9. 9:00 AM CASE NUMBER: C24-03122
CASE NAME: RICHARD DAVIS VS. SCOTT EVEY
***HEARING ON MOTION IN RE: TRIAL PREFERENCE**
FILED BY: DAVIS, RICHARD PAUL
TENTATIVE RULING:

This suit, filed in November of 2024, involves a motor vehicle accident on October 10, 2024. Pending now before the Court is plaintiff, Richard Paul Davis' motion for trial preference. Plaintiff seeks a preferential trial date no later than 120 days from the hearing of this motion.

Code of Civil Procedure, § 36(a) states that the court "shall grant" trial preference to a party over the age of 70 if (1) that party "has a substantial interest in the action as a whole," and (2) the health of that party is such that a preference is necessary to prevent prejudicing his or her interest in the litigation.

Plaintiff argues that he is 82 years old and has diagnoses including a kidney disorder, esophageal reflux, hypertension, dyslipidemia, intrinsic asthma, low testosterone, dyspnea on exertion, a family history of heart disease, hypertension, bifascicular bundle branch block, kidney disease, gout, secondary hyperparathyroidism, and a depressive disorder. In support of the motion, plaintiff provides a declaration from counsel, H. Nathan James, Esq. Counsel states that surgery was initially scheduled for October 2025, but plaintiff "is unable to endure the surgery and the six months of rehabilitation thereafter, as he cannot afford to stop working for six months" without resolution of this matter. Counsel further states that plaintiff relies upon the income from his business and is being forced to continue working notwithstanding the pain and suffering resulting from such exertion.

Defendant opposes the motion based on the showing not evidencing any prejudice to plaintiff's "interest in the litigation" as opposed to general hardship incurred by any plaintiff in

litigating a personal injury claim.

Plaintiff's reply brief argues he is "in somewhat frail health and in dire need of a complete, left shoulder replacement surgery." While also arguing that plaintiff's "remaining years are limited," the Court notes the absence of any assertion that conditions plaintiff is suffering from are fatal. Further, while the reply points out that a deceased plaintiff's estate cannot recover pain and suffering damages, the prejudiced interest in such circumstances would be the estate and not the plaintiff himself.

Here, the Court finds plaintiff to be over the age of 70, permitting the present motion. Plaintiff is further the only plaintiff named here, giving him a substantial interest in the present action as a whole. As to the final showing, however, the Court finds that there is insufficient evidence to conclude preference is necessary to prevent prejudicing plaintiff's interest in the litigation. However, the Court is sympathetic to plaintiff's allegations and diagnoses, acknowledging some uncertainty as to years remaining, and noting that this case has already been pending for over a year.

Accordingly, the Court **denies** the motion for trial preference, but intends to set a trial as soon as practicable for all involved. The Case Management Conference currently set for June 3rd is advanced to March 3, 2026 at 8:30 am for the purposes of setting a mediation or other ADR compliance deadline, Issue Conference, and trial date.

Parties are ordered to file and serve updated CMC Statements by noon on February 26, 2026. Parties are ordered to list all discovery planned, propounded, scheduled or completed thus far in their CMC Statements. Parties are ordered to list any pre-trial motions concerning discovery or the pleadings (excluding motions *in limine*). If parties have not completed ADR, parties are to meet and confer on selection of a mediator prior to March 3, 2026.

10. 9:00 AM CASE NUMBER: C25-00200

CASE NAME: CLAUDIU MIHAILA VS. DOES 1-25

***HEARING ON MOTION IN RE: TO CONTEST APPLICATION FOR DETERMINATION OF GOOD FAITH SETTLEMENT**

FILED BY: DISCOVERY BUILDERS, INC.

TENTATIVE RULING:

Defendant Discovery Builders California Inc. ("Builder") has filed a motion ("Motion") to contest an application for good faith settlement determination ("Application") filed by codefendants Dennis Czarnecki and Maureen Czarnecki ("Sellers"). Plaintiffs Claudiu Mihaila and Gabriela Mihaila ("Plaintiffs") allege that Builder negligently constructed the home they own and did so in violation of residential construction standards and that Sellers made negligent misrepresentations and negligent nondisclosures during the course of selling the home at issue to Plaintiffs.

For the reasons set forth below, Builder's Motion is **denied**. Pursuant to Code of Civil Procedure §§ 877 and 877.6, the Court finds that Builder has not met its burden on the Motion. The Court also finds that the settlement between Sellers and Plaintiffs is a good faith settlement under the standards of *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, as set forth below.

Background

Plaintiffs allege that they reside on real property in Brentwood ("Property"), that they purchased from Sellers and that was constructed by Builder. Plaintiffs allege three causes of action, including: (1) violation of residential construction standards per Civil Code § 895 et seq. against all defendants; (2) negligent misrepresentation against Sellers; and (3) negligent non-disclosure against Sellers. In the prayer for relief, Plaintiffs ask for damages from Builder as to the first cause of action. As to the second and third causes of action, Plaintiffs seek damages from Sellers.

In November 2024, prior to commencement of this action on January 23, 2025, Plaintiffs entered into a settlement with Sellers pursuant to which Sellers agreed to pay Plaintiffs \$75,000, among other terms. In October 2025, Sellers served an application for good faith settlement determination on Builder and the Court. Builder filed a timely motion to contest the application for good faith settlement.

Procedures and Standards Governing Good Faith Settlement Determination

There are two alternative procedures under Code of Civil Procedure § 877.6 for obtaining a determination that a settlement is a good faith settlement. Sellers here chose the procedure by which they filed an application for a good faith settlement determination without setting a hearing, which the Court may grant unless a motion contesting the good faith settlement is timely made. (Code Civ. Proc. § 877.6(a)(2).) Builder timely filed a motion contesting the Application.

The California Supreme Court in *Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488 ("*Tech-Bilt*") listed a series of factors courts should consider in making the determination of good faith under Code of Civil Procedure § 877.6. These factors include "a rough approximation of plaintiffs' total recovery and the settlor's proportionate liability, the amount paid in settlement, the allocation of settlement proceeds among plaintiffs, and a recognition that a settlor should pay less in settlement than he would if he were found liable after a trial. Other relevant considerations include the financial conditions and insurance policy limits of settling defendants, as well as the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants." (*Id.* at 499.) The settlement lacks good faith if the settlement is " 'grossly disproportionate to what a reasonable person at the time of settlement would estimate the settling defendant's liability to be.' [Citation omitted.]" (*Id.* [quoting *Torres v. Union Pacific R.R. Co.* (1984) 157 Cal.App.3d 499, 509].)

That a settlement calls for the settling party to pay less than the party's theoretical proportionate share of the plaintiff's damages does not mean the settlement is made bad faith; a good faith settlement does not require " 'perfect or even nearly perfect apportionment of liability.' [Citation omitted.] All that is necessary is that there be a 'rough approximation' between a settling tortfeasor's offer of settlement and his proportionate liability. [Citation omitted.]" (*North County Contractor's Assn. v. Touchstone Ins. Services* (1994) 27 Cal.App.4th 1085, 1090-1091.) In assessing the value of the settlement to the settling party and whether the settlement was reached in good faith, "a trial court must examine not only the settling tortfeasor's potential liability to the plaintiff, but also the settling tortfeasor's potential liability to all nonsettling tortfeasors. [Citations omitted.]" (*PacificCare of California v. Bright Medical Associates, Inc.* (2011) 198 Cal.App.4th 1451, 1465-1466; *TSI Seismic Tenant Space, Inc. v. Superior Court* (2007) 149 Cal.App.4th 159, 166.)

Analysis

The case file shows that Builder appears to be the developer and original seller of the Property.

Sellers purchased the Property from Builder and later sold it to Plaintiffs. Under the settlement being challenged by Builder, Plaintiffs agreed to accept a settlement payment of \$75,000 in resolution of the claims they asserted against Sellers. (Nathan Scheg Decl. ISO Opposition, Exh. A [Application for Good Faith Determination, Stipulation for Settlement].) According to Plaintiffs' counsel, this \$75,000 represents 15.7% of the Plaintiffs' total claim of \$479,289,31. (Declaration of David Hamerslough ISO Application for Good Faith Settlement (Hamerslough Dec., ¶ 10(b).)

Builder's Motion makes one argument as to why the Court should deny Seller's Application and one alternative argument. Builder argues that the Court should deny Seller's Application because Seller did not analyze the *Tech-Bilt* factors in the Application. (Motion, p. 4; Reply, p. 2.) In the alternative, Builder requests the Court to determine that the Seller's settlement payment should be allocated to offset claimed repair damages at the time of trial. (Motion, p. 5.) Sellers argue in their opposition that Builder has not met its burden of proof and that Builder improperly attacks the form of the application rather than substance of the settlement. (Opposition, pp. 4-5.)

A. Burden of Proof on Good Faith Settlement Determination is on Builder

"The burden is upon the party objecting to the proposed settlement to prove an absence of good faith. (§ 877.6.) The challenger must prove 'the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute.' [Citation omitted.]" (*North County Contractor's Assn. v. Touchstone Ins. Services* (1994) 27 Cal. App. 4th 1085, 1091 [quoting *Tech-Bilt, supra*, 38 Cal.3d at 499-500].) (See also Code Civ. Proc., § 877.6, subd. (d); *Tech-Bilt, supra*, 38 Cal.3d at 499-500 ["The party asserting the lack of good faith, who has the burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far 'out of the ballpark' in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a 'settlement made in good faith' within the terms of section 877.6."]; *Greshko v. County of Los Angeles* (1987) 194 Cal.App.3d 822, 831 [same].) This assessment is made based on the facts available at the time the settlement is made. (*Tech-Bilt, supra*, 38 Cal. 3d at 499 ["[P]ractical considerations obviously require that the evaluation be made on the basis of information available at the time of settlement."].)

B. Sellers' Description of the Settlement in the Application is Sufficient.

Sellers were not required to address the *Tech-Bilt* factors in their Application; a "barebones" application is sufficient, as the party objecting to the good faith determination bears the burden of proving the settlement does not meet the *Tech-Bilt* good faith standard. (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261; *North County Contractor's Assn., supra*, 27 Cal.App.4th at 1090-1091.) (See also *Alcal Roofing & Insulation v. Superior Court* (1992) 8 Cal.App.4th 1121, 1129 ["At a minimum, a party seeking confirmation of a settlement must explain to the Court and to all other parties: who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration."].)

Here, Seller's Application generally covers the "barebones," minimum requirements for an application for a good faith settlement determination summarized in the *Alcal* decision. (Nathan Scheg Decl. ISO

Opposition, Exh. A.) There is no allocation of the settlement proceeds made in the settlement, so allocation is not addressed in the Application. (*Ibid.*)

Builder's argument that Sellers failed to address the *Tech-Bilt* factors is unavailing as Sellers do not have that burden—Builder does. (See *City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261; *North County Contractor's Assn., supra*, 27 Cal.App.4th at 1090-1091.) Builder submitted one declaration in support of its Motion, the declaration of Builder's attorney, Stephanie L. Young. (Young Decl., ISO Motion.) The Young declaration addresses some of the procedural history of this matter and also goes over a number of asserted deficiencies in the Sellers' Application. (*Ibid.*) Builder objects that the Application does not mention the *Tech-Bilt* factors, does not address whether the settlement is in "the ballpark" of Sellers' proportionate liability, does not provide any allocation of the settlement proceeds, does not address whether there has or has not been any fraud perpetrated by Sellers and Plaintiffs in relation to the settlement being challenged. (*Id.* at ¶¶ 11-16.)

However, nowhere in its Motion does Builder address the *Tech-Bilt* factors head on so as to carry its own burden on them. Builder's only attack is that Sellers have not addressed the *Tech-Bilt* factors. (Motion, p. 4: Reply, p. 2.) Builder has ignored the statutory and case law requirements it must meet in bringing this Motion. The Code of Civil Procedure is clear, "The burden is upon the party objecting to the proposed settlement to prove an absence of good faith. (CCP § 877.6.) *The challenger* must prove 'the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute.' [Citation omitted.]" (*Tech-Bilt, supra*, 38 Cal.3d at 499-500.)

Seller argues that Builder has submitted no expert analysis, no allocation model, no liability assessment, and no competent evidence establishing that the \$75,000 settlement is disproportionate to the Sellers' alleged exposure as prior homeowners. The court agrees. Builder has not met its burden.

C. Alternative Request for Allocation

Builder's argument in the alternative asks the Court to determine that the full settlement payment should be allocated as an offset to the claimed repair damages at the time of trial. (Motion, p. 5; Reply, pp. 2-3.) However, the Court declines to do so as allocations are not required at the good faith settlement stage as there is a "'widely accepted method' for making a postverdict allocation." (*Dole Food Co., Inc. v. Superior Court* (2015) 242 Cal.App.4th 894, 918.)

D. The *Tech-Bilt* Factors

With respect to the first factor, the rough approximation of Plaintiff's total recovery and the settlor's proportionate liability, Seller argues that their settlement of \$75,000 represents nearly 15% of the pre-mediation demand and that if Plaintiffs were to be successful in their lawsuit, the Builder and not the Sellers should be primarily responsible for the construction defects of the Property. (Opposition, p. 5) Builder asserts that the total amount suggested by Sellers does not include fees and costs and the *Stearman* costs, which total an additional \$37,000. (Reply, p. 2.) However, Plaintiffs' own counsel states that the Plaintiff's *Stearman* costs were \$14,000 as of February 5, 2026, and further declares that the \$75,000 represents 15.7% of the "total claim." (Hamerslough Dec., ¶ 10(b).) (Note: The Court understands "*Stearman* costs" to refer to the costs homeowners incur to have experts investigate defects and create repair plans, from *Stearman v. Centex Homes* (2000) 78 Cal. App. 4th

613.)

Here, the Court finds that the amount of \$75,000 is appropriate, especially in light of the fact that should Plaintiffs be successful in their lawsuit, it would not appear that the Sellers, from one perspective the initial victims of Builder, would end up responsible for a majority of the costs to repair the Property. The Sellers are a retired couple who lived in the home until 2021, who believed the disclosures provided during the sale were truthful, are not themselves builders, contractors, or construction professionals, and had no role in the construction of the home. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 2-4; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 2-4.) Builder, in contrast, is a developer and may have statutory liability pursuant to the California Right to Repair Act (Civil Code §§ 895 et seq.). With respect to the second factor, the amount paid in settlement, \$75,000, appears appropriate in light of the settlement occurring prior to Plaintiffs even filing the instant lawsuit, especially in consideration of the fact that this amount reflects a risk adjusted exposure rather than the theoretical maximum possible recovery.

Regarding the third factor, the allocation of settlement proceeds, the Court references to its reasoning above in that since the settlement did not include an allocation, it need not be discussed here, especially in light of the acceptability of a post-verdict allocation.

The fourth *Tech-Bilt* factor, a recognition that a settlor should pay less in settlement than he would if he were liable at trial, certainly weighs in favor of a finding of good faith.

The fifth *Tech-Bilt* factor is to consider the financial conditions and insurance policy limits of settling defendants. Here, the undisputed evidence shows that Sellers have no insurance and are retirees living primarily on fixed income and that in order to pay the settlement they had to utilize retirement assets. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 8-10; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 8-9, 11.) This factor weighs in favor of finding the settlement to be in good faith.

Finally, the sixth factor, “the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants” (*Tech-Bilt, supra*, 38 Cal.3d at 499), weighs in favor of finding a good faith settlement, as the only evidence submitted on this issue shows there was no improper collusion, fraud, or the like. (Dennis Czarnecki Decl. ISO Opposition, ¶¶ 6-7; Maureen Czarnecki Decl. ISO Opposition, ¶¶ 5-7.) The settlement was reached through mediation with a retired judge and appears to be the product of arm’s length negotiation. (*Id.* ¶ 6.) The Court notes that Builder has supplied no evidence on this factor. As per the analysis above, the *Tech-Bilt* factors weigh in favor of finding the settlement between Sellers and Plaintiffs to have been made in good faith.

Ruling on Motion to Contest Application for Approval of Good Faith Settlement

“The party asserting the lack of good faith, who has the burden of proof on that issue (§ 877.6, subd. (d)), should be permitted to demonstrate, if he can, that the settlement is so far ‘out of the ballpark’ in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a ‘settlement made in good faith’ within the terms of section 877.6.” (*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499-500.) Here, Builder has failed to meet this burden and the Court thus **denies** the instant Motion. The Court finds that the \$75,000 settlement between Plaintiffs and Sellers is a good faith settlement and declines to make any rulings regarding allocation at this time.

11. 9:00 AM CASE NUMBER: C25-01753

CASE NAME: HAROLD KUSHINS VS. JAY UTAL

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: WALKER, KENNETH

TENTATIVE RULING:

Defendant Kenneth Walker's meet and confer declaration shows that the moving party has not yet complied with Code of Civil Procedure (CCP) § 430.41. The Court continues the demurrer hearing on its own motion to **9:00 a.m., Friday, March 20, 2026, in Department 32.**

The Court reminds the parties that pursuant to CCP § 430.41(a) they are required to discuss the alleged deficiencies with the complaint in person, by telephone or by video conference before each and every demurrer or motion to strike. As the court noted in *Dumas v. Los Angeles County Bd. of Supervisors* (2020) 45 Cal.App.5th 348, 355, fn. 3:

[T]rial courts are not required to ignore defects in the meet and confer process. If, upon review of a declaration under section 430.41, subdivision (a)(3), a court learns no meet and confer has taken place, or concludes further conferences between counsel would likely be productive, it retains discretion to order counsel to meaningfully discuss the pleadings with an eye toward reducing the number of issues or eliminating the need for a demurrer, and to continue the hearing date to facilitate that effort.

Defendant Kenneth Walker shall file a CCP § 430.41 meet and confer declaration by **Friday, March 6, 2026**, showing compliance with the requirement to meet and confer "in person, by telephone, or by video conference." (CCP § 430.41, subd. (a).)

12. 9:00 AM CASE NUMBER: MSC17-01486

CASE NAME: DOSKOCZ VS. ALS

***ENFORCEMENT OF JUDGMENT**

FILED BY:

TENTATIVE RULING:

The court orders all parties to appear at hearing.
Zoom appearance is acceptable and even preferred.

13. 9:00 AM CASE NUMBER: MSC19-01240

CASE NAME: SONNENSHEIN VS PACIFIC UNION

HEARING ON SUMMARY MOTION ADJUDICATION

FILED BY: SONNENSHEIN, STACEY

TENTATIVE RULING:

Before the Court is a motion by plaintiffs for summary adjudication against defendant Pacific Union International, Inc. on an issue of duty under Civil Code section 1088(b). For the reasons set forth, the motion is **denied without prejudice** as stated below.

Background

This action arises out of Plaintiffs' purchase of a residential property in Richmond (the "Property") through an escrow that closed on July 10, 2015. (Sec. Am. Compl. ("2AC") ¶¶ 7, 9, 13.) Defendant Pacific Union is a licensed real estate broker which represented both the seller and buyer in the purchase and sale transaction, through its agent, defendant Dan Joy. (2AC ¶¶ 2, 3, 7.)

In their 2AC, Plaintiffs allege causes of action for actual fraud/constructive fraud, negligence, and breach of fiduciary duty against Pacific Union and Joy. Plaintiffs move for summary adjudication against Pacific Union only pursuant to Code of Civil Procedure section 437c(f)(1) regarding an issue of duty.

Legal Standards for Motion for Summary Adjudication

Under Code of Civil Procedure section 437c(c), a motion for summary judgment "shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Code Civ. Proc. § 437c(c).) On a motion for summary judgment, a plaintiff meets its burden of showing there is no defense to the claim if the plaintiff proves each element of the cause of action that would entitle plaintiff to judgment on that cause of action in its favor. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849, 853; *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 241; Code Civ. Proc. § 437c(p)(1).)

Plaintiffs here move for summary adjudication of an issue of duty. They do not move for summary adjudication of any cause of action.

Code of Civil Procedure § 437c(f) provides in pertinent part: "A party may move for summary adjudication as to . . . one or more issues of duty, if the party contends that . . . one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of . . . an issue of duty." (Code Civ. Proc. § 437c(f)(1) [emphasis added].) Motions for summary adjudication under Code of Civil Procedure section 437c(f)(1) "are 'procedurally identical' to summary judgment motions." [Citation.] (*Duffey v. Tender Heart Home Care Agency, LLC* (2019) 31 Cal.App.5th 232, 240-241.) (*See also Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 251.)

In deciding a motion for summary adjudication, the Court views the evidence in the light most favorable to the opposing party, drawing "all reasonable inferences in favor of that party. [Citations omitted.]" (*Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 864 ("*Weiss*").) Declarations and other evidence offered in support of the motion are strictly construed, while declarations and evidence offered in opposition to the motion are liberally construed. (*D'Amico v. Bd. of Medical Examiners* (1974) 11 Cal.3d 1, 20; *Johnson v. American Standard, Inc.* (2008) 43 Cal.4th 56, 64.) " '[S]ummary judgment cannot be granted when the facts are susceptible to more than one reasonable inference . . . ' " (*Husman v. Toyota Motor Credit Corp.* (2017) 12 Cal.App.5th 1168, 1180 [quoting *Rosas v. BASF Corp.* (2015) 236 Cal.App.4th 1378, 1392].)

"All doubts as to the propriety of granting the motion—i.e., whether there is any triable issue of material fact—are to be resolved in favor of the party opposing the motion." (*Cohen v. Five Brooks Stable* (2008) 159 Cal.App.4th 1476, 1483.)

Analysis

Plaintiffs have set forth the issue of duty as to which they seek summary adjudication in their motion and their Separate Statement ("SS") of Undisputed Material Facts ("UMFs") as follows: "**There is no triable issue of fact that Civil Code § 1088(b) imposes a duty on real estate brokers to place in the multiple listing service only representations and statements which the broker knows or reasonably should know are true**" ("Issue of Duty"). (MSA p. 2, ll. 12-16; SS p. 2, ll. 1-4, Plaintiff's Notice of Motion and Motion for Summary Adjudication ("Notice of Motion & Motion," p.2: 14-16.)

A. Civil Code § 1088(b)

Plaintiffs have presented evidence of the text of Civil Code § 1088 as it existed in 2015 when the real estate transaction subject to the 2AC took place. (Steinfeld Decl. ¶ 5 and Exh. 1.) The statute provides in part: "If an agent . . . places a listing or other information in the multiple listing service, that agent . . . shall be responsible for the truth of all representations and statements made by the agent . . . of which that agent . . . had knowledge or reasonably should have had knowledge to anyone injured by their falseness or inaccuracy." (Steinfeld Decl. Exh. 1 [Civ. Code § 1088 eff. In 2015].) The text of the statute has been revised, and the foregoing provision now appears in Civil Code § 1088(b).

Plaintiffs have also provided the text of Civil Code section 1086 as it existed in 2015, a statute which defines an "agent" as "a licensed real estate broker under Chapter 3 (commencing with Section 10130) of Part 1 of Division 4 of the Business and Professions Code." (Steinfeld Decl. ¶ 6 and Exh. 2.) Civil Code § 1088 therefore applies to real estate brokers under the definition of "agent" in Civil Code § 1086.

B. Procedural Deficiencies in the Motion Regarding Scope of Summary Adjudication Based on the Issue of Duty Framed by Plaintiffs

The Issue of Duty as stated in Plaintiffs' motion and repeated in the SS is stated generically as to "real estate brokers" and without any reference to Pacific Union or to Plaintiffs. The Court acknowledges that the Plaintiffs state, "The motion is made **on the grounds that Defendant Pacific Union International, Inc.**, a licensed real estate broker who represented Plaintiffs in the purchase of the real property and whose acts and omissions in doing so form the gravamen of Plaintiffs' complaint, **had a duty** to Plaintiffs pursuant to Civil Code § 1088(b)." (MSA p. 2, ll. 8-11, Notice of Motion and Motion, p. 2: 8-11. Emphasis added.) However, Plaintiffs framed the issue for summary adjudication not as one specific to Defendant in this lawsuit, but as a generic statement of the law as it applies to real estate brokers, "There is no triable issue of fact that Civil Code § 1088(b) imposes a duty **on real estate brokers** to place in the multiple listing service only representations and statements which the broker knows or reasonably should know are true." The court can infer that Plaintiffs seek to apply the scope of the Issue of Duty thus framed to be summarily adjudicated to Pacific Union and Plaintiffs specifically, but that is not the Issue of Duty on which Plaintiffs have made the motion. (*Compare to Linden Partners v. Wilshire Linden Associates* (1998) 62 Cal.App.4th 508, 516-517.)

California Rule of Court, Rule 3.1350 addresses motions for summary judgment and summary adjudication. That Rule provides with respect to a motion for summary adjudication, "If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, the specific cause of action, affirmative defense, claims for damages, or issues of duty must be stated specifically in the notice of motion and be repeated, verbatim, in the separate statement of

undisputed material facts." (Cal. R. Ct., Rule 3.1350(b) [emphasis added].) The generic Issue of Duty set forth in the motion and the SS meets this requirement, but adding facts to the specific statement of the issue to be summarily adjudicated not included in the Issue of Duty Plaintiffs defined in the motion and SS does not meet the requirements of Rule 3.1350(b).

While an issue of duty, specifically "the existence or nonexistence of a duty" in the nature of a statutory, common law, or contractual duty may be the proper subject of a motion for summary adjudication (*Linden Partners, supra*, 62 Cal.App.4th at 517-519), the issue presented for adjudication must fully dispose of the issue to meet the requirements of Code of Civil Procedure § 437c(f)(1), and Plaintiffs' Issue of Duty as stated does not. Granting summary adjudication of the Issue of Duty as stated in Plaintiffs' motion and SS would not "completely dispose" of an issue of duty. At most, it would state the legal effect of Civil Code §§ 1088(b) and 1086(d) untethered to the parties in the case. (*Compare to Linden Partners, supra*, 62 Cal.App.4th at 516-517.) The Court cannot unilaterally and *sua sponte* rewrite the Issue of Duty Plaintiffs actually presented for summary adjudication in order to reach an issue which could potentially be summarily adjudicated, consistent with the *Linden Partners* decision.

C. Other Procedural Problems

The SS is supposed to include only the material facts the moving party contends are pertinent to the disposition of the issue presented in the motion. (Cal. R. Ct., Rule 3.1350(d), including (d)(1)(B) ["Each supporting material fact claimed to be without dispute with respect to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion."] and (d)(2) ["The separate statement should include only material facts and not any facts that are not pertinent to the disposition of the motion."].) The Court concurs in some respects with Pacific Union that some of Plaintiffs' UMFs do not state material facts, but rather legal conclusions; the SS under Code of Civil Procedure § 437c and Rule 3.1350 is supposed to address facts, and the supporting memorandum contains the party's analysis of the relevant law and its application to the undisputed facts. (*See, e.g.*, UMF Nos. 3, 20, 21.)

The Court also agrees with Pacific Union that whether disputed or undisputed, many of the UMFs presented by Plaintiffs in their SS in support of the motion attempt to address issues beyond the narrow Issue of Duty stated on which Plaintiffs ask for summary adjudication. These issues include (a) any liability or responsibility by Pacific Union for sales agent Dan Joy's acts or omissions (for example, UMF Nos. 2-4), (b) whether the information presented in the listing or multiple listing service in this instance was accurate (for example, UMF Nos. 8, 11-15, 17-19), and (c) whether there was a breach of duty to Plaintiffs under Civil Code § 1088 as in effect in 2015 and Pacific Union's liability (for example, UMF Nos. 8-15). The Court cannot rule on a motion for summary adjudication except on the narrow grounds allowed under Code of Civil Procedure § 437c(f)(1).

The Court cannot partially summarily adjudicate the existence of a duty and breach of that duty, as such a ruling would not fully dispose of any cause of action. (*See Paramount Petroleum Corp., supra*, 227 Cal.App.4th at 239-244 [concluding summary adjudication of duty, breach of contractual obligation and liability was improper under Code of Civil Procedure § 437c(f)(1) where cause of action for breach of contract includes element of damages; court could not grant summary adjudication of liability issue only on breach of contract].) Though Plaintiffs may have intended to confine their

motion solely to the Issue of Duty, facts addressing conduct related to whether Pacific Union and/or Dan Joy met or breached the duty raise questions as to whether Plaintiffs are seeking a determination beyond the existence or nonexistence of a duty owed by Pacific Union to them under Civil Code § 1088(b).

Denial Without Prejudice

The Court denies the motion based on the procedural deficiencies set forth. The Court in its discretion denies the motion without prejudice, such that if Plaintiffs desire, they can refile the motion to correct the procedural issues as the Court does not reach the merits of any issue of duty by this ruling.

Evidentiary Issues and Evidentiary Objections

Given the Court's ruling on the motion, the Court does not address the parties' requests for judicial notice as not material to the ruling. Under Code of Civil Procedure § 437c(q), the Court only needs to rule on evidentiary objections material to the Court's ruling. Given the Court's ruling, the Court does not rule on the evidentiary objections to defendant's evidence. Counsel for Pacific Union is also advised that, although Pacific Union's response to UMF Nos. 14 and 15 refer the Court to "Evidentiary Objections to Declaration of Adam Bailey," the Court's Odyssey system does not include any such objections, nor did Pacific Union's proof of service of its opposition papers filed on January 27, 2026 list any such evidentiary objections.

14. 9:00 AM CASE NUMBER: MSC21-00650
CASE NAME: MARIA SALVADOR VS. GULF HARBOUR INVESTMENTS CORPORATION
***HEARING ON MOTION IN RE: ATTORNEY'S FEES**
FILED BY: HERITAGE BANK OF COMMERCE
TENTATIVE RULING

The matter is stayed pursuant to the notice of bankruptcy filed 3/18/25.

Hearing on Defendant's post-judgment motion for attorneys' fees (originally filed January 24, 2025) is continued to August 21, 2026 at 9:00 a.m. in Department 32.

Discovery Law & Motion

15. 9:01 AM CASE NUMBER: C24-02962
CASE NAME: FRANK GALLAGHER VS. SIMON DE GIULI BOTTA
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO INTERROGATORIES**
FILED BY: GALLAGHER, FRANK
TENTATIVE RULING:

Plaintiff Frank Gallagher (Plaintiff or Gallagher) brings the instant motion to compel further responses to Form Interrogatories and further responses to a Request for Production of Documents from

Defendant 8 Vini, Inc. (Defendant or “8 Vini”), and for sanctions.

The motion to compel is denied except for Request for Document No. 14, 20 and 25.

Plaintiff sued his former employer, defendant 8 Vini, Inc. alleging that it failed to pay him agreed upon commissions, breached their contract, breached the implied covenant of good faith and fair dealing, failed to timely pay him all of the wages due to him upon termination, failed to provide accurate wage statements, and competed unfairly. (Motion to Compel Further Responses to Interrogatories, filed May 1, 2025, p. 4)

Individual defendant Simon De Giuli, (“Defendant De Giulli”) is the CEO of 8 Vini, Inc., a small family-run business that imports high quality Italian wines to the U.S. (Declaration of Christina Ciu (Ciu Dec.) ¶ 3, attached as Ex. 2 to the Friend Dec. IOMTC Docs.) Defendant De Giulli was the Plaintiff’s direct supervisor and has a “unique knowledge” regarding the Plaintiff’s allegations. (Ciu Dec. ¶ 4)

December 12, 2024, Plaintiff served Form Interrogatories—Employment [Set 26 One] and Special Interrogatories [Set One] upon Defendant. Declaration of Noam Glick ISO MTC Interrogatories, (Glick Dec. ISO MTC Inter., ¶ 2)

On January 16, 2025, 8 Vini requested a 30-day extension to respond to the discovery, which Gallagher granted. (Glick Dec. ISO MTC Inter., ¶ 3)

On January 31, 2025, 8 Vini requested an additional 14-day extension to respond to the discovery which Plaintiff granted. (Glick Dec. ISO MTC Inter., ¶ 4)

On February 7, 2025, 8 Vini requested a third extension, for an additional 14 days. (Glick Dec. ISO MTC Inter., ¶ 5)

On February 24, 2025, 8 Vini responded to interrogatories and request for production of document with unverified responses-which were later verified on March 31, 2025 .(Glick Dec. ISO MTC Inter., ¶ 6, Friend Dec. IOMTC Documents (Friend Dec., IOMTC Docs., ¶ 3)

On March 14, 2025, Plaintiff sent Defendant a meet-and-confer letter. (Glick Dec. ISO MTC Inter., ¶ 7)

On March 31, 2025, Defendant served verified, supplemental responses to Plaintiff’s Form and Special Interrogatories. Declaration of Kathleen B. Friend IOMTC Interrogatories, (Friend Dec. IOMTC Inter., ¶3) Defendant also proposed a Protective Order. (Glick Dec. ISO MTC Inter., ¶ 8)

On April 1, 2025, Plaintiff responded that the Protective Order was fine and gave opposing counsel permission to add Plaintiff’s counsel’s signature to it and file it. (Glick Dec. ISO MTC Inter., ¶ 9)

On April 2, 2025, 8 Vini responded that it would respond to Plaintiff’s counsel’s meet-and-confer letter including a substantive response to the letter, by April 18, 2025. (Glick Dec. ISO MTC Inter., ¶ 10)

The Court issued the parties’ stipulated protective order on April 17, 2026. (Friend Dec. IOMTC Inter., ¶ 3)

Plaintiff asserts Defendant failed to respond to Plaintiff’s meet-and-confer letter or supplement its responses by April 18, 2025. (Glick Dec. ISO MTC Inter., ¶ 11) Plaintiff also asserts that on April 18,

2025, 8 Vini's counsel sent an email stating "Defendant's supplemental responses in response to your meet and confer letter to follow." Plaintiff's counsel states he asked "when," but never received any response—and Plaintiff asserts this "forced" Plaintiff to file the instant Motion to Compel Further Responses on May 1, 2026. (Glick Dec. ISO MTC Inter., ¶ 11)

On April 18, 2025, in contrast to Plaintiff's statements of lack of response by Defendant, Defendant produced approximately 5,200 pages of documents in addition to 332 it had previously produced. (Friend Dec. IOMTC Inter., ¶ 4)

Defendant's April 18, 2025 production included were a series of emails that contain spreadsheets that detail sales made by Plaintiff that is referenced in 8 Vini's supplemental special interrogatory responses. As noted in some of the emails, a spreadsheet containing this information was transmitted to Plaintiff in October 2024 as part of pre-litigation discussions between Plaintiff and 8 Vini. A copy of certain documents related to the referenced spreadsheet was attached to the Friend Dec. as Ex. 1. (Friend Dec. IOMTC Inter., ¶ 5)

Defendant's April 18th production also included a number of other spreadsheets and emails referencing Plaintiff's compensation and sales, including, but not limited to documents bates stamped as: DEFT005099-5105; DEFT005107-5120; DEFT005122-5130; DEFT00105132-5142; DEFT005145-5158; DEFT005164-5166; DEFT005168-5171; DEFT005172-5185; DEFT005190-5198; DEFT005199-5211; DEFT005212-5247; DEFT005252; DEFT005257. (Friend Dec., IOMTC Inter. ¶ 6)

Defendant's initial production of 332 pages included Plaintiff's pay stubs and final paycheck, along with his personnel file and documents relating to expense reimbursements. (Friend Dec. IOMTC Inter., ¶ 7) In addition to producing Plaintiff's complete personnel file, pay records, and reimbursements forms, Defendant searched almost 100 terms within its files and emails in order to capture all responsive documents in response to Plaintiff's requests. Defendants efforts resulted in a production of about 3,025 documents. Defendant provided responsive documents to all of Plaintiff's requests, except for two: Request No. 34 and No. 35. (Friend Dec. IOMTC Docs., ¶ 4)

On May 17, 2025, Defendant De Giulli suffered a medical emergency while in London, England. (Ciu Dec. ¶ 3) Defendant De Giulli was working a "very reduced" schedule since returning to work after the medical event. Ciu Dec. ¶ 5.

Defendant filed a Motion to Stay on August 13, 2025, because of CEO De Giulli's May 17, 2025, medical event: an acute type B aortic dissection requiring his immediate admission to the Intensive Care Unit at St Mary's Hospital. (Friend Dec. IOMTC Docs., ¶ 5) As of September 4, 2025, Defendant De Giulli had resumed approximately 60% of his previous work load. Ciu Dec. ¶ 5. Defendant submitted a copy of a doctor's report confirming Defendant De Giulli's hospitalization in London. (Friend Dec. IOMTC Docs., Ex. D.)

Plaintiff acknowledges its failure to meet and confer on certain interrogatories and withdraws its motion as to Form Interrogatories 207.1, 207.2 and Special Interrogatories Nos. 16 and 17. (Reply MTC Inter., 3.) Plaintiff contests only Special Interrogatories 5, 8-11, 13-15, 20, and 22-26.

Special Interrogatory No. 5:

Interrogatory: State the amount paid for each type of COMPENSATION Plaintiff earned during his employment with YOU, summarized by pay period.

Court agrees that Defendant has produced the information regarding “amount paid” by producing paystubs. Defendant has also answered how Plaintiff’s commission was calculated in several interrogatories. Defendant has produced Plaintiff’s personnel filed and listed by Bates number, emails referencing Plaintiff’s compensation. Court notes that in his Reply, Plaintiff has dropped his objection on Special Interrogatory No. 6 for an explanation on how the commissions were calculated.

Special Interrogatories No. 8-9:

Plaintiff admits for the first time in his Reply, that “now for the first time in its Separate Statement in support of its Opposition, Defendant clarifies the Bates numbers of the referenced spreadsheets.” Plaintiff ignores that Defendant produced the underlying document to Plaintiff directly “even before he filed suit. (Defendant’s S/S IOMTC Inter., at 9-10.) The documents was produced 12 days before Plaintiff filed the motions to compel. (Defendant’s S/S IOMTC Inter., at 10.) Plaintiff’s objections are overruled.

Special Interrogatories No. 10-11.

Defendant has explained how the commissions were generated based on the formula described in the commission agreement. Court agrees that “this is not a non-response.” Plaintiff’s objections are overruled.

Special Interrogatories No. 13-14.

The court agrees that these multi-part interrogatories “describe in detail...including but not limited to...” is vague as to “in detail,” and answered by the spreadsheet which has been identified by Bates number.

Special Interrogatory No. 15.

This calls for all persons with knowledge of any sale made by the Plaintiff during his employment with the Defendant. The court agrees that the Defendant’s identification of Plaintiff’s direct supervisor and Christina Ciu is a fair starting point. To the extent it calls for identification of persons outside the company, it seems that Plaintiff would have equal if not superior knowledge of whom he contacted inside and outside of the company for sales. Defendant’s production of external and internal communications would also appear fairly to address this inquiry. No further response is ordered.

Special Interrogatories No. 20, 22-24, 26. (leased car allowance, vacation wages)

The court agrees that Defendant answered Special Interrogatories Nos. 20, 22 in its responses to No. 19 and 21. No further response is ordered. Special Interrogatories No. 23, 24, 26 (vacation days) no further response is ordered.

Request for Documents No. 14:

All documents which reflect any revenue received by you from customers to whom Plaintiffs sold your products.

Court agrees that the scope of this request is so vast “**all** documents which reflect **any** revenue ...” that it is unduly burdensome and not designed to lead to the discovery of admissible evidence and intrudes upon Defendant’s financial privacy. What about unofficial estimates, cancellation of orders, delays of orders, notes taken on scratch paper of a conversation for an order? Such items would not be reasonably designed to lead to the discovery of admissible evidence. Something more specific, such as income statements, profit and loss statements, would both answer Plaintiff’s concerns and be reasonable. The court finds defendant’s described production of documents up to the present to be comprehensive enough to answer this request adequately. The description of Defendant’s production is sufficient for the court to conclude that Defendant has not “cherry picked” documents for production.

As to the response, “Responding party will produce sufficient documents to allow Plaintiff to identify the referenced sales,” **the Court agrees that Defendant should identify documents to which this response refers within 30 days of service of this order.**

Request for Documents No. 13:

All DOCUMENTS evidencing or RELATED TO revenue received by YOU during Plaintiffs employment with YOU.

Plaintiff wants Defendant to produce broad categories of its internal financial records, spanning almost six years, which are protected by Defendant’s right to financial privacy. Plaintiff cannot articulate a fact-specific justification or theory of relevance for such documents that overcomes Defendant’s financial privacy rights. To the contrary, by Defendant’s production of Plaintiff’s pay statements (DEFT000001-36; DEFT000042-DEFT332; Plaintiff’s personnel file, which includes a description of Plaintiff’s compensation (DEFT000037-41); reimbursement forms signed by Plaintiff and reimbursement checks issued to Plaintiff (DEFT000138-328; DEFT004990-5306); and emails regarding the calculation of Plaintiff’s commissions (DEFT005099-5105;

DEFT005107-5120; DEFT005122-5130; DEFT00105132-5142; DEFT005145-5158; DEFT005164-5166; DEFT005168-5171; DEFT005172-5185; DEFT005190-5198; DEFT005199-5258), Plaintiff will have everything of relevance to the commission issues in this case. Everything else Plaintiff seeks goes far beyond the bounds of discoverable evidence, particularly given the

sensitive nature of these records and Defendant’s right to financial privacy. Given the breadth of Plaintiff’s request, Defendant can only partially comply with this request.

The court agrees with Defendant’s position. In view of the scope of the production – identified by

BATES numbers – the court agrees it appears that “Plaintiff will have everything of relevance to the commission issues in this case.” The court notes this request does not relate to the issues in this case—the Plaintiff’s assertion that he was not paid commissions to which he was entitled. “All documents” related to revenue not only appears to infringe on Defendant’s right of privacy, it does not appear to be reasonably calculated to lead to the discovery of admissible evidence.

Request for Documents No. 15:

All DOCUMENTS evidencing or referencing customers to whom PLAINTIFF sold YOUR products during his employment with YOU

Court agrees that this is “overly broad” in the sense that it is not likely to lead to the discovery of admissible evidence, especially to the extent that others may have worked with customers to whom Plaintiff sold products, and there may be many many documents “referencing” customers that contain no information at all about sales or contact with Plaintiff.

Court recognizes that Defendant’s production of personnel file, which includes a description of customers Plaintiff worked with and internal and external emails responds to this request and does not appear to be “cherry picking.”

Request for Documents No. 16:

All DOCUMENTS which reflect the sale of any product by PLAINTIFF, including any sale in which he was in any way involved, to any of YOUR customers during the time he was employed by YOU including, but not limited to, any DOCUMENTS which in any way reflect the name of the customer, date or dates of the sale, any related contracts or agreements, the amount of the sale, whether and when the customer paid and the amount paid.

The court finds Defendant’s response. Defendant 8 Vini has other persons also engaged in work similar to that carried out by Plaintiff and who were responsible for originating sales and/or finding customers on which Plaintiff now claims commissions. Plaintiff had little to no contact with many of 8 Vini’s accounts and was responsible for the loss of one account due to failure to respond to the client, and 8 Vini was blacklisted from another client Plaintiff was responsible for. Defendant’s production of Plaintiff’s pay statements

(DEFT000001-36; DEFT000042-DEFT332; Plaintiff’s personnel file, which includes a description of Plaintiff’s compensation (DEFT000037-41); reimbursement forms signed by Plaintiff and reimbursement checks issued to Plaintiff (DEFT000138-328; DEFT004990-5306); and emails regarding the calculation of Plaintiff’s commissions (DEFT005099-5105; DEFT005107-5120;

DEFT005122-5130; DEFT00105132-5142; DEFT005145-5158; DEFT005164-5166; DEFT005168-5171; DEFT005172-5185; DEFT005190-5198; DEFT005199-5258), Plaintiff will have everything of relevance to the commission issues in this case. Given the breadth of Plaintiff’s request, Defendant can only partially comply with this request.

The court notes that Defendant's description of the production it has already made does not appear to be "cherry picking" as argued by Plaintiff. On the contrary it appears to be specifically identified and comprehensive. Defendant has already answered, "Responding Party will produce all relevant responsive nonprivileged documents that are within Responding Party's custody and control." The court will not order further production.

Request for Documents No. 17:

All DOCUMENTS evidencing COMPENSATION paid by YOU to Plaintiff, including but not limited to: paychecks, payroll records, including weekly, monthly, and quarterly payroll registers.

Defendant responded: Defendant produced all documents, including Plaintiff's pay statements (DEFT000001-36; DEFT000042-DEFT332; Plaintiff's personnel file, which includes a description of Plaintiff's compensation (DEFT000037-41); reimbursement forms signed by Plaintiff and reimbursement checks issued to Plaintiff (DEFT000138-328; DEFT004990-5306); and emails regarding the calculation of Plaintiff's commissions (DEFT005099-5105; DEFT005107-5120; DEFT005122- 5130; DEFT00105132-5142; DEFT005145-5158; DEFT005164-5166; DEFT005168-5171; DEFT005172-5185; DEFT005190-5198; DEFT005199-5258).

The court finds that Defendant's description of the production it has already made does not appear to be "cherry picking" as argued by Plaintiff. On the contrary it appears to be specifically identified and comprehensive. In addition, Defendant has already answered, "Responding Party will produce all relevant responsive nonprivileged documents that are within Responding Party's custody and control." The court will not order further production.

Request for Documents No. 18:

All non-privileged COMMUNICATIONS RELATING TO any demand for unpaid commissions by PLAINTIFF during or after his employment with YOU including, but not limited to, emails, text messages, handwritten notes, memoranda, personal journals and calendars.

Plaintiff complains that Defendant made an "objection only" response. This is incorrect. Defendant responded by identifying responsive documents by Bates number. "Defendant produced all documents: (DEFT005099-5105; DEFT005107-5120; DEFT005122-5130; DEFT00105132-5142; DEFT005145-5158; DEFT005164-5166; DEFT005168-5171; DEFT005172-5185; DEFT005190-5198; DEFT005199-5258)"

In view of this response the Plaintiff's objections are overruled.

Request for Documents No. 20 & 35:

The court agrees that Defendant should supplement its response with the explanation for its answer

that it has no responsive documents to produce.

Conclusion:

The Plaintiff's motions to compel further responses to interrogatories and document production is denied except for the few items specified above, for which Defendant should respond within 30 days of service of notice of entry of this order. In addition to producing Plaintiff's complete personnel file, pay records, and reimbursements forms, Defendant searched almost 100 terms within its files and emails in order to capture all responsive documents in response to Plaintiff's requests. The court finds Defendant's efforts to respond to Plaintiff's discovery requests have been diligent, thorough and comprehensive.

Plaintiff improperly moved to compel answers to interrogatories that it failed to meet and confer about with Defendant. Defendant has acted with substantial justification and produced voluminous amounts of responsive and Bates stamped, identified documents. In addition, Defendant demonstrated good faith even providing Plaintiff with significant information pre-litigation. Plaintiff's request for sanctions is denied.

16. 9:01 AM CASE NUMBER: C24-02962
CASE NAME: FRANK GALLAGHER VS. SIMON DE GIULI BOTTA
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO REQUESTS FOR PRODUCTION OF DOCUMENTS**
FILED BY: GALLAGHER, FRANK
TENTATIVE RULING:

See Line 15.

17. 9:01 AM CASE NUMBER: C23-01080
CASE NAME: DANIELLE DEMOTTO VS. WALNUT CREEK SCHOOL DISTRICT
***HEARING ON MOTION FOR DISCOVERY SANCTIONS FOR FAILURE TO COMPLY WITH THE COURT'S DISCOVERY ORDER**
FILED BY: WALNUT CREEK SCHOOL DISTRICT
TENTATIVE RULING:

On November 5, 2025, Defendant Walnut Creek School District filed this motion for an order compelling Plaintiff DANIELLE Demotto to provide responses to written discovery without objections, pursuant to CCP §2030.290 and 2031.300.

Defendant seeks responses to written discovery: Form Interrogatories (General and Employment), Set One, Request for Production of Documents, Set One, Special Interrogatories, Set One, and Request for Admissions, Set One. Defendant further moves for sanctions in the amount of \$6,318. In addition to monetary sanctions, Defendant seeks contempt sanctions.

This motion was set for hearing February 20, 2026.

When the complaint in this matter was filed on May 9, 2023, the plaintiff requested and was granted a waiver of court fees.

On June 2, 2025, Defendant filed a cross complaint against the Plaintiff. Plaintiff did not answer or otherwise respond to the cross complaint and Plaintiff's default on the Cross-complaint was entered by the clerk on July 15, 2025.

On September 5, 2025, the court granted Defendant's motion to compel Plaintiff to provide responses to requests for first set of written discovery. The court ordered Plaintiff to serve "code-compliant, objection free, verified responses along with responsive documents" in 60 days. Sanctions were denied. Plaintiff has not complied with the court's September 5, 2025 order.

Defendant filed the instant motion to compel on November 5, 2025, and hearing was set for February 20, 2026. No opposition was filed.

On December 11, 2025, Defendant filed a motion to compel Plaintiff's attendance at deposition. Hearing was set for March 27, 2026.

On February 6, 2026, the court ordered the Complaint dismissed without prejudice for failures to appear at court proceedings, including failure to respond to an order to show cause why the Complaint should not be dismissed.

The court **denies** the Defendant's motion to compel as moot. After the Defendant filed the instant motion, Plaintiff's original complaint was dismissed. Plaintiff had already defaulted on the Cross-Complaint. Therefore no further discovery is warranted. Sanctions are denied.

For the same reason, the court also orders Defendant's Motion to Compel Plaintiff's Attendance at Deposition, currently set for hearing on March 27, 2026 at 9:00 a.m. in Department to be **dropped from calendar**.

The court will maintain the date of April 21, 2026 at 8:30 a.m. for the Order to Show Cause issued by Judge Treat as to Attorney James Marzan to appear and show cause, if cause there be why the Cross-Complaint against Cross-Defendant Danielle DeMotto should not be dismissed for failure to prosecute.

Law & Motion
Add on

18. 9:00 AM CASE NUMBER: C24-00152
CASE NAME: DEANDRANAE JONES VS. DAVE & BUSTER'S OF CALIFORNIA, INC.
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DISCOVERY RESPONSES**
FILED BY:
TENTATIVE RULING:

Before the Court is the Motion of Defendant Dave & Buster's of California, Inc. ("Defendant" or "Dave

& Buster's") to Compel Plaintiff's Further Discovery Responses to First Set Of Request for Production of Documents, filed October 31, 2025.

At issue is a single but central request for documents, Defendant's Demand for Inspection (the court will use the abbreviation "RFP" for "Request for Production") No. 48. Defendant's RFP No. 48 served on June 2, 2025, and Plaintiff's response, served on July 16, 2025 were as follows:

[Defendant's] DEMAND FOR INSPECTION NO. 48:

All DOCUMENTS that depict YOUR income from 2017 to the present (e.g., IRS Form W-2s, 1099s, earning statements, paystubs, etc.).

[Plaintiff's] RESPONSE TO DEMAND NO. 48:

Pursuant to Code of Civil Procedure § 2031.230, a diligent search and a reasonable inquiry has been made. Plaintiff is unable to comply because the particular item is no longer in the possession, custody, or control of Plaintiff. Discovery and investigation are ongoing. Plaintiff reserves the right to amend and/or supplement this response.

Meet and Confer and Agreements to Extend Deadline for Plaintiff's Response

The parties have met their meet and confer requirements, as outlined in their respective pleadings. Kaylen Kadotani, counsel for Dave & Buster's sent Plaintiff's counsel a detailed meet and confer letter on August 18, 2025. (Decl. of Cody M. Christiansen, "Christiansen Decl." Ex. C)

Having received no response, Dave & Buster's followed up on August 27, 2025, and Plaintiff's counsel replied only to confirm additional time to review the letter—without providing a substantive response. (Declaration of Breana Burgos, "Burgos Decl.," at ¶ 5; Exh. D.)

Dave & Buster's counsel followed up again on September 15 noting that no substantive response had been provided and again offering to move the motion to compel date to allow Plaintiff more time to review the meet and confer letter. (Burgos Decl., at ¶ 6; Exh. D.) Plaintiff's counsel responded that same day, confirmed they needed more time to review, and asked to move the deadline to October 15, 2025. (*Id.*, Exh. D) In an email dated September 16, 2025, Dave & Buster's agreed to move the motion to compel deadline once again, to October 15, 2025. (*Id.*, Exh. D.)

Dave & Buster's attorney followed up again on September 29 seeking a response to the meet and confer letter sent on August 18. (Burgos Decl., at ¶ 7; Exh. D.)

On October 6, 2025 Plaintiff responded, but failed to address or otherwise include her position as to RFP No. 48. (Christiansen Decl. Ex. D) Plaintiff acknowledged it "inadvertently" did not address RFP in its October 6, 2025 letter. (Christiansen Decl., ¶ 25, Ex. D.)

Plaintiff's counsel sent a letter to Defendant's counsel on October 29, 2025 asserting privacy and privilege objections. (Christiansen Decl., Ex. E.)

Defendant's counsel emailed Plaintiff on October 31, 2025 at 4:48 pm recapping the arguments and including the argument that no documents have been received to support the Plaintiff's response to Form interrogatories that she was making approximately \$6000 a month for a total of \$138,000 in lost

income. (Christiansen Decl., Ex. F.)

Factual Background

Plaintiff alleges she was injured in a third-party criminal shooting that occurred at Defendant's Dave & Buster's establishment. Plaintiff alleges that prior to the incident, she operated her own beauty salon and earned approximately \$6,000 per month and was unable to return to work for nearly two years. Plaintiff's responses to Form Interrogatories indicate that she is seeking \$6,000 per month in lost income for a total of \$138,000.

Defendant reports that Plaintiff has produced no documents to date.

Discussion

Waiver

The court agrees that Plaintiff has waived all objections by failing to assert them in her response. Code of Civil Procedure (CCP) § 2031.300 provides that any objection not timely asserted in a response to a request for production is waived. (See also, *Henry Mayo Newhall Mem. Hosp. v. Superior Court* (1978) 81 Cal.App.3d 626, 636 ["[t]he failure to make timely objections [to a discovery request] constitutes a waiver."].) Plaintiff's response to RFP was served on July 16, 2025. Defendant extended the deadline for Plaintiff to respond to the RFP more than once, and finally to extended the deadline October 15, 2025, at Plaintiff's request. Plaintiff first raised these objections on October 29, 2025, three months and a half months after her initial response, and two weeks after the deadline she herself requested and obtained from Defendant, (Christiansen Decl. ¶¶ 28-29, Ex. E, Burgos Decl., Exh. D.) Plaintiff tacitly acknowledged these objections were claimed for the first time on October 29, 2025 in its Separate Statement in Opposition (filed January 29, 2026, at page two), in the argument titled "Amended Response to Request No. 48 (*Asserted October 29, 2025*)." (Emphasis added.)

Section 2031.270 of the CCP requires that an agreement to extend the time for production of items must be in writing. Section 2031.270 states:

(a) The party demanding inspection, copying, testing, or sampling and the responding party may agree to extend the date for the inspection, copying, testing, or sampling or the time for service of a response to a set of demands, or to particular items or categories of items in a set, to a date or dates beyond those provided in [Sections 031.030](#), [2031.210](#), [2031.260](#), and [2031.280](#).

(b) This agreement may be informal, but it shall be confirmed in a writing that specifies the extended date for inspection, copying, testing, or sampling, or for the service of a response.

CCP § 2031.270.

The record here contains letters agreeing to an extension of time to October 15, 2025. (Burgos Decl. ¶ 6, Ex. D) There was no evidence of a written agreement to an extension of time for Plaintiff to serve its objections and response on October 29, 2025. The assertion of the tax return privilege was untimely.

The court notes that CCP § 2031.040 requires that a party objecting to the production of item based on a claim of privilege must identify the documents with particularity, specify the ground for objection, and produce a privilege log. There is nothing in the Plaintiff's pleadings to indicate this was done. Section 2031.040 provides in relevant part:

(b) If the responding party objects to the demand for inspection, copying, testing, or sampling of an item or category of item, the response shall do both of the following:

(1) Identify with particularity any document, tangible thing, land, or electronically stored information falling within any category of item in the demand to which an objection is being made.

(2) Set forth clearly the extent of, and the specific ground for, the objection. If an objection is based on a claim of privilege, the particular privilege invoked shall be stated.

(c) (1) If an objection is based on a claim of privilege or a claim that the information sought is protected work product, the response shall provide sufficient factual information for other parties to evaluate the merits of that claim, including, if necessary, a privilege log.

CCP §§ 2031.040(b)-(c)

There is nothing in the record that demonstrates Plaintiff complied with CCP Section 2031.040 to assert a claim of privilege in its response to the Defendant's RFP No. 48.

Plaintiff argues that the waiver rule does not apply "with equal force" to objections based on fundamental constitutional rights and statutory privilege but cites no statutory or legal authority in support of the argument.

The court finds that Plaintiff's assertion of the objections based on privacy grounds and the tax return privilege was untimely and incomplete as to the lack of a privilege log, and that the objections are waived.

Plaintiff's Objections are Overbroad and Refusal to Produce any Documents is Unreasonable

Plaintiff focuses her arguments on privacy objections and the tax return privilege. These objections are overbroad.

Plaintiff has refused to produce *any* documents in response to RFD No. 48 which seeks "All DOCUMENTS that depict YOUR income from 2017 to the present (e.g., IRS Form W-2s, 1099s, earning statements, paystubs, etc.). Even assuming the tax return privilege was not waived, there are multitudinous documents that may "depict" income outside of tax returns: 1099-MISC forms, Profit & Loss Statements, business bank or credit union statements, business credit card account statements, appointment books or records, or business checkbook ledgers, to name a few. Plaintiff has failed to produce *any* financial documents depicting her income, even ones over which no privilege arguably exists.

To the extent that Plaintiff may claim these documents don't exist after "a diligent search and a

reasonable inquiry,” that strengthens the Defendant’s argument that tax returns may be the only source of reliable information regarding Plaintiff’s alleged loss of income.

Gravamen of the lawsuit / lack of alternatives

The Plaintiff has stated in an interrogatory response that she was “making approximately \$6000 a month for a total of \$138,000 in lost income.” She asserts an inability to produce documents based on objections that “a diligent search and a reasonable inquiry has been made...and because the particular item is no longer in the possession, custody, or control of Plaintiff.” She has failed to produce any non-privileged documents depicting her income, and she has failed to produce a privilege log for documents that she asserts are privileged. She contends that an expert will be able to testify as to lost income on the basis of documents that Defendant will be able to request in discovery in the future, as part of expert discovery, but does not explain why such documents cannot be produced at this time.

The Plaintiff’s claim for lost wages based on causes of action arising out of allegations of personal injury have put her income at issue. Normally, this alone would not overcome the tax return privilege, but where the privilege was not asserted in a timely fashion, where a privilege log was not produced, and where the plaintiff has absolutely refused to identify or produce documents *of any kind* depicting her income, court finds Plaintiff has impliedly waived the privilege. The Defendant has no other alternative for documents supporting the Plaintiff’s assertion that she was at any time making \$6,000 a month in income.

Order

The Court **grants** the Motion of Defendant Dave & Buster’s of California, Inc. to Compel Plaintiff’s Further Discovery Responses to First Set of Request for Production of Documents. The court orders that Plaintiff produce all responsive documents with a verified code compliant response within 45 calendar days. The court orders that Plaintiff may redact Social Security numbers (her own or that of any third party) from her production of documents. The court further orders that prior to the production of Plaintiff’s documents, the parties negotiate and submit for court approval a protective order providing that the parties not use documents or information produced in discovery for any purpose outside of the instant lawsuit. Should Plaintiff unreasonably delay her agreement to such a protective order, the Defendant may, upon a showing of good faith meet and confer efforts with Plaintiff, submit a Proposed Protective Order to the court on an *ex parte* basis.

Sanctions

Plaintiff’s failure to identify or produce any documents at all, combined with the untimely assertion of objections warrants sanctions. The court finds Plaintiff acted without substantial justification in failing to assert a privilege until three and a half months after it made its initial response, and two weeks after the deadline which she herself had requested from defendant, in failing to identify or produce non-privileged documents, and in failing to produce a privilege log even as it argued documents were privileged. Also the court finds the Plaintiff’s purported justification, that an expert will answer questions about the Plaintiff’s income and the Defendant may in the future request documents relied on by the expert—does not make sense—if Plaintiff has documents that an expert may use to testify

about lost income, why isn't the Plaintiff producing those documents now?

The Court may impose monetary sanctions, including attorney fees, against a party engaging in a misuse of the discovery process. (CCP § 2023.030(a).) Relevant misuses of the discovery process include: (1) failing to respond to an authorized method of discovery; (2) making, without substantial justification, an unmeritorious objection to discovery; and/or (3) making an evasive response to discovery. (CCP § 2023.010, subds. (d), (e), (f).)

Plaintiff has requested sanctions of \$7,810.00 against Plaintiff and her attorneys at The Barnes Firm, L.C., for reasonable attorney's fees and costs. The court appreciates the time involved in a discovery motion of this magnitude, and finds that after all is said and done it was a single document request, on a few limited issues. Taking into account the pleadings prepared in this case, the court awards sanctions against Plaintiff's counsel in the amount of \$3900, roughly half the amount sought, due within 20 days of service of entry of this order.

Law & Motion
Add On 2

19. 9:00 AM CASE NUMBER: C23-02761

CASE NAME: SUNPOINT PUBLIC ADJUSTERS, INC. VS. GARY JOHNSON

***HEARING ON MOTION IN RE: TO STRIKE 2ND AMENDED CROSS-COMPLAINT FILED BY SUNPOINT PUBLIC ADJUSTERS INC.**

FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is Cross-Defendant SUNPOINT PUBLIC ADJUSTERS, INC.'s Motion to Strike. The Motion to Strike relates to Cross-Complainants GARY JOHNSON, KEVIN JOHNSON, and JOHNSON AND JOHNSON CONSULTING, INC's Second Amended Cross Complaint ("2AXC"). For the following reasons, the Motion to Strike is denied in its entirety.

Cross-Defendants move to strike the 2AXC in its entirety, arguing that it was filed four days past the statutory 10-day deadline. (MTS p. 4: 5-12.)

Procedural Background

The hearing in which the FAXC was granted with leave to amend took place on August 7, 2025. The order after hearing was executed on August 19, 2025, and filed by the court on August 20, 2025. The proof of service for the order was filed on September 29, 2025. The 2AXC was filed on August 15, 2025.

Analysis

The 2AXC Was Timely Filed.

“Following a ruling on a demurrer, unless otherwise ordered, leave to answer or amend within 10 days is deemed granted...” (Cal. Rules of Court, rule 3.1320(g).)

The 10-day time limit does not run from pronouncement at a hearing of the Court’s decision. Section 472b of the California Code of Civil Procedure is clear; “[w]hen a demurrer to any pleading is sustained or overruled, and time to amend or answer is given, the time so given runs from the service of notice of the decision or order, unless the notice is waived in open court, and the waiver entered in the minutes.” (Civ. Proc. Code § 472b.) In short, “the time to amend a complaint following a demurrer runs from notice of the ruling, not the ruling itself even if counsel is present.” (*People v. \$20,000 U.S. Currency* (1991) 235 Cal.App.3d 682, 691.)

Here, Cross-Complainants did not waive notice in open court, nor was any such waiver recorded in this Court’s August 7, 2020, minute order. Rather, the Court (Judge Douglas) specifically instructed the parties to prepare a formal order, which was not filed until August 20, 2025. The triggering event that starts the clock on the days is the notice of the order which was not filed until September 29, 2025. The 2AXC was filed before then on August 15, 2025. The 2AXC was filed timely.

“Wrongfully” Terminated Language

Cross Defendants request that the Court strike the allegation that Gary Johnson was wrongfully terminated because 2AXC does not plead a cause of action for wrongful termination. Nor does it even allege facts that would support the elements of a wrongful termination. (Motion to Strike p. 6: 5-7; 2AXC ¶ 80.) The 2AXC alleges that his termination was wrongful in the context that SPA, Khan, and Clifford “conspired to out Gary Johnson from Sunpoint as part of a scheme and pattern to take his stock for less than fair market value. (Motion to Strike p. 6: 13-16; 2AXC ¶ 80.)

Cross Defendants’ position is unsupported by the allegations. The wrongful termination was alleged as part of a scheme that constituted a breach of fiduciary duty. Cross Defendants did not present any law that suggests that a breach of fiduciary claim cannot be based on conduct constituting wrongful termination.

Conclusion

In consideration of the above, **Motion to Strike is denied.**

20. 9:00 AM CASE NUMBER: C23-02761

CASE NAME: SUNPOINT PUBLIC ADJUSTERS, INC. VS. GARY JOHNSON

HEARING ON DEMURRER TO: TO 2ND AMENDED CROSS-COMPLAINT FILED BY SUNPOINT PUBLIC ADJUSTERS INC.

FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is the Demurrer of Cross-Defendants Defendants SUNPOINT PUBLIC ADJUSTERS, INC. GREGG CLIFFORD and MASOOD KHAN (collectively “Cross-Defendants”) filed September 29, 2025, to the Second Amended Cross Complaint (“2AXC”) of Cross-Complainants GARY JOHNSON, KEVIN

JOHNSON, AND JOHNSON AND JOHNSON CONSULTING, INC. (collectively “Cross-Complainants”) filed August 15, 2025.

For the following reasons, the Demurrer is **sustained** for the Third Cause of Action for breach of fiduciary duty against Gregory Clifford and Masood Kahn with leave to amend and **sustained** for the Fourth Cause of Action for breach of fiduciary duty against Masood Kahn with leave to amend.

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Cross-Complainants’ counsel in the Declaration of Kevin P. Lee. Cross-Defendant’s counsel explained its meet and confer efforts which took place with a phone call on September 24, 2025. (Lee Decl. at ¶ 22; Ex. B.)

Request for Judicial Notice

Cross-Defendants request judicial notice of the order on the Demurrer for the First Amended Cross Complaint (“FAXC”) and the Second Amended Cross Complaint (“2AXC”). (Lee Decl. at ¶ 22; Ex. B.) Both are filings in this instant matter.

A court may take judicial notice of court records pursuant to Evid. Code, § 452(d), however, when taking judicial notice of court records, the court is limited to noticing the *existence* of each document in a court file. (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) The court can only take judicial notice of the truth of facts asserted in orders, findings of fact and conclusions of law, and judgments. (*Ibid.*) “The truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

The Court grants **the request for judicial notice.**

Factual Background:

Cross Complainants allege that Sunpoint is a public insurance adjusting firm that represents policyholders in connection with negotiating and resolving first-party insurance claims for property losses or damages resulting from natural disasters against insurance companies. (2AXC ¶ 10.) Cross Complainant Gary Johnson joined Sunpoint in September 2018, when he became a 25% equity owner/shareholder, director, and Chief Operating Officer of Sunpoint. He later became Sunpoint’s Chief Financial Officer. (2AXC ¶ 11.) Gary Johnson alleges he was a key member of the team that generated referrals that propelled Sunpoint to a valuation of approximately \$20 million dollars. (2AXC ¶ 11.)

Gary Johnson previously knew Cross-defendant Masood Kahn from working together at a prior insurance public adjusting firm. When Kahn, a licensed attorney, joined Sunpoint, Gary Johnson and the other three owners each gave 5% of their stock to Kahn, so that Sunpoint was then and now owned by five shareholders each owning 20% of Sunpoint. (2AXC ¶ 12.)

Cross Complainants alleged that Cross Defendants Gregory Clifford, the President, and CEO of Sunpoint, and Masood Kahn, a director and General Counsel conspired to oust and remove Gary Johnson from Sunpoint in May 2023. The Cross Complainants allege that Gary Johnson was removed as a director in order to seize his 20% ownership interest in Sunpoint. (2AXC ¶ 13.) Cross Complainant alleged that Gary Johnson was forced to sign a Separation Agreement which he alleged prevents him

from earning a living in his profession. (2AXC ¶ 13.)

Cross Complainants alleged that on July 15, 2023, Cross Defendant Clifford emailed Gary Johnson that Sunpoint was buying back Johnson's company shares from him pursuant to a Shareholder Agreement (Shareholder Agreement) dated November 26, 2028. (2AXC ¶ 15.)

The 2AXC plead that the Shareholder Agreement specifically required that any such valuation report "shall be prepared by Sunpoint's accountant," and that Sunpoint's account was Michael Tchalikian, CPA. (2AXC ¶ 16.) The 2AXC alleged that instead of using Sunpoint's accountant, as required by the Shareholder Agreement, Sunpoint hired a third-party accounting firm, Magidov CPA, which firm knew very little about the business of Sunpoint. (2AXC ¶ 16.)

Cross Complainants alleged that Sunpoint was valued at between \$15 million to \$20 million dollars at the time of Gary Johnson left the company. (2AXC ¶¶ 15, 33.) The 2AXC alleges that Magidov CPA was given incorrect, improper and incomplete information and that as a result, Magidov's valuation of Sunpoint was artificially depressed. (2AXC ¶ 32-34.)

The 2AXC alleged that on July 15, 2023, Sunpoint undervalued Gary Johnson's stock at \$520,000, instead of the \$3 million actual worth of the stock. (2AXC ¶¶ 15, 33.)

Cross Complaints further alleged that Sunpoint refused to pay Kevin Johnson approximately \$100,000 in earned commissions currently owed to Kevin Johnson at the time it terminated his employment. (2AXC ¶¶ 37, 50-51.) Sunpoint also terminated Sandi Smith, who was Sunpoint's Director of Operations from December 17, 2018, until she was terminated in September 2023. (2AXC ¶¶ 38, 50.)

Cross-Complainants also alleged that Cross-Defendants are attempting to enforce illegal non-compete covenants against both Gary and Kevin Johnson. (2AXC at ¶¶ 40-49.)

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe v. LA")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe v. LA, supra*, 42 Cal.4th 531 at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Applicable Law

The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. (*Knox v. Dean* (2012) 205 Cal.App.4th 417, 432-433.) "Whether a fiduciary duty exists is generally a question of law. Whether the defendant breached that duty towards the plaintiff is a question of fact." (*Marzecv. Public Employees' Retirement System* (2015) 236 Cal.App.4th 889, 915.)

"[E]xamples of relationships that impose a fiduciary obligation to act on behalf of and for the benefit of another are 'a joint venture, a partnership, or an agency.' But, '[t]hose categories are merely illustrative of fiduciary relationships in which fiduciary duties are imposed by law.' " (*Cleveland v. Johnson* (2012) 209 Cal.App.4th 1315, 1339.) "There is a 'strong public interest in assuring that

corporate officers, directors, majority shareholders and others are faithful to their fiduciary obligations to minority shareholders.' " (*Meister v. Mensinger* (2014) 230 Cal.App.4th 381, 395.)

"A shareholder's derivative suit seeks to recover for the benefit of the corporation and its whole body of shareholders when injury is caused to the corporation that may not otherwise be redressed because of failure of the corporation to act. Thus, 'the action is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, *or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.*' [Citations.] ' . . . The stockholder's individual suit, on the other hand, is a suit to enforce a right against the corporation which the stockholder possesses as an individual.' [Citation.]" (*Jones v. H. F. Ahmanson & Co.* (1969) 1 Cal. 3d 93, at 106-107. Emphasis added.)

"It is a general rule that a corporation which suffers damages through wrongdoing by its officers and directors must itself bring the action to recover the losses thereby occasioned, or if the corporation fails to bring an action, suit may be filed by a stockholder acting derivatively on behalf of the corporation. An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock. . . ." (*Rankin v. Frebank Co.* (1975) 47 Cal. App. 3d 75, 95.)

Analysis

Third Cause of Action for Breach of Fiduciary Duty Against Cross Defendants Gregory Clifford and Masood Kahn

Cross-Defendants demur to Third Cause of Action for Breach of Statutory Fiduciary Duty Against Gregory Clifford and Masood Khan on the grounds that it is "an improperly pled derivative shareholder action."

Shareholders may bring two types of actions, "a *direct* action filed by the shareholder individually (or on behalf of a *class* of shareholders to which he or she belongs) for injury to his or her interest *as a shareholder*," or a "*derivative* action filed on *behalf of the corporation* for *injury to the corporation* for which it has failed or refused to sue." (Friedman, Cal. Practice Guide: Corporations (The Rutter Group 2004) ¶ 6:598, p. 6-127.) "The two actions are mutually exclusive: i.e., the right of action and recovery belongs either to the *shareholders* (direct action) or to the *corporation* (derivative action)." (*Ibid.*) When the claim is derivative, the "shareholder is merely a nominal plaintiff . . . Even though the corporation is joined as a nominal defendant . . . , it is the real party in interest to which any recovery usually belongs." (Friedman, *supra*, ¶ 6:602, pp. 6-128.1 to 6-128.2.)

Under California law, "a shareholder *cannot* bring a direct action for damages against management on the theory their alleged wrongdoing decreased the value of his or her stock (e.g., by reducing corporate assets and net worth). The corporation itself must bring such an action, or a derivative suit may be brought on the corporation's behalf." (*Schuster v. Gardner* (2005) 127 Cal.App.4th 305, 312, citing Friedman, Cal. Practice Guide: Corporations, *supra*, ¶ 6:601.1, p. 6-128.1, citing *Sutter v. General Petroleum Corp.* (1946) 28 Cal.2d 525, 529-530, *O'Hare v. Marine Electric Co.* (1964) 229 Cal. App. 2d 33, 36-37.) A different rule would "authorize multitudinous litigation and ignore the corporate entity." (*Sutter v. General Petroleum Corp.*, *supra*, at p. 530.)

An action is derivative if "'the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.'" (*Jones*

v. H. F. Ahmanson & Co. supra, 1 Cal.3d at 106.) Shareholders may bring a derivative suit to, for example, enjoin or recover damages for breaches of fiduciary duty directors and officers owe the corporation. (Friedman, Cal. Practice Guide: Corporations, *supra*, ¶ 6:604, p. 6-128.2.) An individual cause of action exists only if damages to the shareholders were not *incidental* to damages to the corporation. (*Jones v. H. F. Ahmanson & Co., supra*, 1 Cal.3d at 107.) Examples of direct shareholder actions include suits brought to compel the declaration of a dividend, or the payment of lawfully declared or mandatory dividends, or to enjoin a threatened ultra vires act or enforce shareholder voting rights. (Friedman, *supra*, ¶ 6:601, p. 6-128.)

Derivative Claims Do Not Necessitate a Separate Lawsuit

Cross Defendants cite citing *PacLink Communications Internatl., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 965 for the proposition that a separate lawsuit must be brought by the corporation, because an individual shareholder may not maintain an action in his own right for destruction or diminution of the value of the corporation. (Demurrer at p. 11: 19-24, *PacLink Communications Internatl., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 965, citing *Rankin v. Frebank Co.* (1975) 47 Cal.App.3d 75, 95.)

In *PacLink*, the Court of Appeal reaffirmed the general rule that an “individual stockholder may not maintain an action in his own right for destruction of or diminution in the value of the stock.” (*PacLink*, *supra*, 90 Cal.App.4th at 965 [internal quotation and alteration omitted].) Instead, if the corporation fails to file suit itself, a “suit may be filed by a stockholder acting derivatively on behalf of the corporation.” (Ibid. [internal quotation omitted].) Consequently, because plaintiffs’ causes of action were “pled against defendants ... as personal causes of action,” rather than as derivative causes of action, the Court of Appeal instructed the trial court to sustain the demurrer, because the claims were derivative in nature, not direct claims. (Ibid. at 965-66.)

Cross Defendants’ reliance on *PacLink* for the proposition that a separate lawsuit must be brought for a derivative claim is misplaced. Neither *PacLink* nor any other authority cited by Cross Defendants hold that direct and derivative claims must be pursued in separate lawsuits.

Personal v. Derivative claims

Cross Defendants argue that the allegations in the Third Cause of Action constitute a direct or individual claim by Gary Johnson instead of a derivative claim. This Court agrees.

The Third Cause of Action alleges a conspiracy by Cross Defendants Gregory Clifford and Masood Kahn to seize Cross Complainant Gary Johnsons stock by hiring an accountant firm, in violation of the Shareholder Agreement, to artificially lower the valuation of the company and injuring its shareholders. (2AXC ¶¶ 70, 80-84.) However, the gravamen of the issue is not that the Cross-Complainants’ actions resulted in injury to the corporation that decreased the value of Sunpoint shares or that the value of Sunpoint shares actually decreased at all as a result of the Cross-Complainants’ actions; the thrust of the claim is that an improper analysis of Sunpoint by Magidov CPA produced an false –artificially low-- valuation of Sunpoint shares that injured Gary Johnson when he was forced to sell his shares at that artificially low price, *i.e.*, “for less than fair market value.” (2AXC ¶ 83.) The central point of the Third Cause of Action is that misrepresentations about the value of the company injured a particular shareholder, Gary Johnson, not injury to the value of the company, or a dissipation of Sunpoint assets.

Another indication that the Third Cause of Action does not constitute a derivative claim is revealed in the nature of the remedy sought. The Third Cause of Action does not “seek to recover assets for the corporation or to prevent the dissipation of its assets,” as described in *Jones v. H. F. Ahmanson & Co.*, supra, 1 Cal. 3d at 106-107. Instead, it seeks damages for the loss in the shareholder’s share value—precisely the type of relief prohibited by the court in *Rankin* when it held, “An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock.” *Rankin*, supra, 47 Cal.App. 3d at 95.

The Third Cause of Action alleges

“Moreover, since terminating Gary Johnson, Kevin Johnson, and Sandi Smith, Masood Kahn and Gregory Clifford have mismanaged Sunpoint in bad faith and self-dealing such that the corporation is losing clients, money, *and value, which impacts and harms all of Sunpoint’s shareholders, including Gary Johnson.* As a direct and proximate result of Gregory Clifford’s and Masood Kahn’s failure to perform their fiduciary duties as directors of Sunpoint in good faith, Sunpoint and its *shareholders have been damaged in an amount to be proven at trial*, plus interest, and costs.” (2AXC, ¶ 84, emphasis added.)

The Third Cause of Action does not seek to recover assets on behalf of Sunpoint--instead it is a claim for damages measured by a alleged decline in the value of the shares, “including [those of] Gary Johnson.”

The Demurrer is **sustained** as to the Third Cause of Action for Breach of Fiduciary Duty claim against Gregory Clifford and Masood Kahn with leave to amend.

Fourth Cause of Action for Breach of Fiduciary Duty Against Masood Kahn

This Court sustained the previous demurrer as to this cause of action on the grounds that there is no private right of action for Corporations Code § 309. (*Lehman v. Superior Court* (2006) 145 Cal.App.4th 109, 120-21.) Cross Complainants no longer rely on Corporations Code § 309.

Cross Defendants demur to the Fourth Cause of Action on the grounds that [1] it improperly states a derivative claim, and [2] it is neither a compulsory nor a permissive Cross Complaint.

The court recognizes that the wrong alleged in the Fourth Cause of Action for breach of fiduciary duty is that Masood Kahn was self-dealing to receive referral fees which constitute deliberate diversion of corporate opportunities. (2AXC ¶ 90.) But just as it is with the Third Cause of Action the call for relief in the Fourth Cause of Action is in the nature of individual claim. Thus the demurrer is sustained.

The Fourth Cause of Action does not “seek to recover assets for the corporation or to prevent the dissipation of its assets,” as described in *Jones v. H. F. Ahmanson & Co.*, supra, 1 Cal. 3d at 106-107, but rather it seeks individual damages for decreases in the value of the stock, as prohibited by the Court in *Rankin*. “An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock.” *Rankin*, supra, 47 Cal.App. 3d at 95.

The Fourth Cause of Action describes alleged self-dealing by Masood Khan. (2AXC, ¶ 90.) However, it does not seek to recover assets for Sunpoint--instead it calls for damages measured by some decline in the value of the shares, “Such diversion of fees from Sunpoint to outside attorneys who paid Masood Khan personal referral fees, further reduced the revenues to Sunpoint and further reduced its valuation, to the harm and detriment of Sunpoint and its shareholders.” (2AXC, ¶90.) A derivative

claim would, for example seek restitution of improper fees from Khan to be paid to Sunpoint. But instead, the 2AXC alleges, “As a direct and proximate result of Masood Khan’s failure to perform his fiduciary duties in good faith and without self-dealing and conflicts, Sunpoint and its shareholders have sustained damages in an amount to be proven at trial. Gary Johnson, as shareholder, is entitled to his proportionate share of any such damages.” (2AXC, ¶ 94.) This call for relief in the form of individual shareholder damages measured by the diminution in the value of the stock is what makes the Fourth Cause of Action an improperly pled derivative claim.

The issue of compulsory or permissive cross complaint is moot as to the Fourth Cause of Action.

Thus, the Demurrer is sustained as to the Fourth Cause of Action for Breach of Fiduciary Duty against Masood Kahn with leave to amend.